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**LAPSE OF
TIME**

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July 2, 2015

To: Members of the Executive Board

From: The Secretary

Subject: **Republic of Congo—Staff Report for the 2015 Article IV Consultation**

Board Action:	Executive Directors' consideration on a lapse of time basis
Deadline to Request Board meeting:	Wednesday, July 15, 2015 12:00 (noon)
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Proposed Decision Deemed Approved:	Friday, July 17, 2015
Proposed Decision:	Page 25
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Questions:	Ms. Hakura, AFR (ext. 36721) Mr. McLoughlin, AFR (ext. 35321) Mr. Mengistu, AFR (ext. 35844) Mr. Jenkinson, AFR (ext. 34146)
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***Unless an objection from the authorities is received prior to the conclusion of the Board's consideration, the document will be published.**



INTERNATIONAL MONETARY FUND

REPUBLIC OF CONGO

STAFF REPORT FOR THE 2015 ARTICLE IV CONSULTATION

July 1, 2015

KEY ISSUES

Economic context. The Republic of Congo has been hit hard by the oil price shock. Fiscal and current account balances deteriorated in 2014 reflecting increased government spending and lower oil prices. Corrective measures are now being taken. Private sector activity is held back by infrastructure gaps, a difficult business climate, and a shallow financial system. Growth and spending have yet to translate into significant reductions in poverty and progress in this area lags peers. Persistent inequality could be a source of instability.

Outlook and Risks. The economy is projected to expand by about 3 percent per annum during 2015–20 as new oil fields come on stream. The fiscal consolidation implied by the proposed supplementary budget will hold back non-oil growth this year. Reduced oil exports earnings and budget revenues are expected to lower external and fiscal buffers in 2015. These should improve over the next three years in line with expanding oil output. Risks to the outlook relate to oil price volatility, persistently low oil prices, accumulation of domestic payment arrears, and domestic instability.

Policies. The 2015 supplementary budget should be passed swiftly and implementation monitored closely. Over the medium term, fiscal and debt sustainability should be ensured by a comprehensive and coherent fiscal adjustment strategy which incorporates lower projected oil prices and the limited remaining lifetime of oil reserves. Effort should also be made to bolster the quality of capital spending to maximize longer-term growth and poverty reduction, and strengthen public financial management. Strengthening the legal and institutional frameworks will support the business climate and financial sector development and inclusion. Further repatriation of overseas deposits would increase compliance with regional reserve pooling requirements and help safeguard the smooth operation of the exchange rate peg.

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Approved By
Anne-Marie Gulde
and **Bob Traa**

Discussions took place in Brazzaville during May 19–June 1, 2015. The staff team comprised Ms. Hakura (head) and Messrs. McLoughlin, Jenkinson, and Issoufou (all AFR). The mission was assisted by Mr. Tchicaya-Gondhet de Trebaud (resident economist). The team met with the State Minister of Economy, Finance, Planning, Public Portfolio and Integration, Mr. Ondongo, and other senior officials. The mission also met with representatives of the private sector, civil society, and development partners. The mission team received research support from Messrs. Dernaoui and Mengistu, and administrative assistance from Mmes. Ng Choy Hing and Koulefianou (all AFR). The Republic of Congo is a member of the Central African Economic and Monetary Community (CEMAC). The common currency, the CFA franc, is pegged to the Euro.

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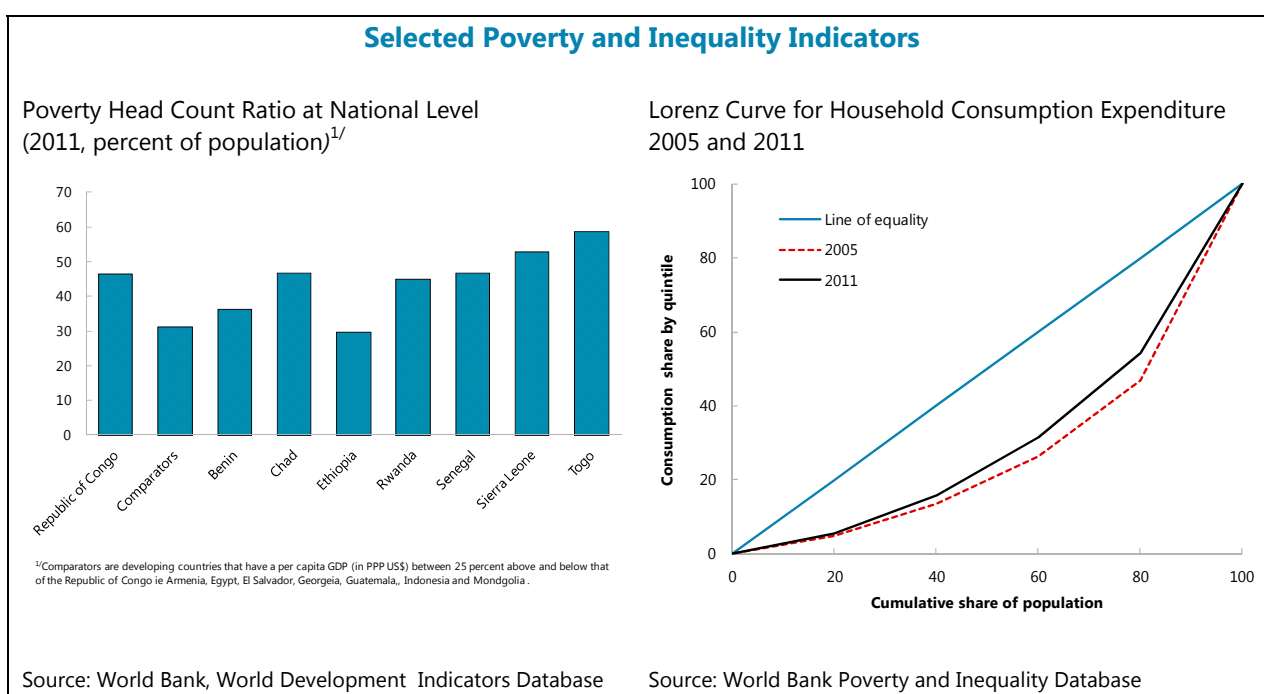
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BACKGROUND

1. Robust growth is yet to result in a broad-based improvement in living standards.

Growth averaged 5 percent over the last 5 years as government spending was ramped up, financed mostly by rising oil receipts. This translated into increased activity in agriculture, industry and services. Nevertheless, the Republic of Congo continues to suffer from large infrastructure gaps and the 2011 household survey showed limited progress in reducing poverty and inequality, (Selected Issues Paper (SIP) Chapter 1). Against a background of uncertainty about the future of oil prices and growth in key export markets, sharply lower oil receipts will constrain efforts to address these development challenges. Limited progress in this area could give rise to tensions and instability.



2. The oil dependence requires a recalibration of policies. The current low international oil price environment has increased the urgency for fiscal consolidation and underscores the need to address pervasive development challenges. In view of the projected depletion of oil reserves over the medium term, it is essential that the ongoing investment surge is effective and supportive of economic diversification. The public investment program should therefore be clearly oriented towards raising the potential growth of the non-oil economy – the main source of employment – and combined with a stronger policy focus on the costs of doing business and competitiveness issues.

3. Presidential elections are planned for mid-2016. The constitution does not allow President Sassou N'guesso to run for a third term. In May 2015, the government launched a dialogue with political, civil society and religious leaders to discuss constitutional reform to remove this obstacle. Opposition parties have announced a boycott of this process.

4. Policies have partially followed recent Article IV recommendations (Annex 1).

An expansionary supplementary budget was approved in September 2014 for increased spending on the All Africa Games (AAG) that will be held in Brazzaville in 2015. In view of the oil price decline, however, the 2015 budget envisaged some fiscal consolidation and the Cabinet recently approved a supplementary budget with additional fiscal adjustment to fully take into account the decline in oil prices. The authorities stopped short of adopting the recommended medium-term fiscal framework, however, that targets a decline in the nonoil primary deficit. In the context of the Public Expenditure Management and Financial Accountability Review (PEMFAR), the authorities are reviewing, with development partners, the scope for improving the efficiency and quality of public expenditures. Some of the government's deposits in China have been repatriated to the Bank of Central African States (BEAC), in line with regional reserves pooling arrangements.

RECENT ECONOMIC DEVELOPMENTS

5. Growth rose to 6.8 percent in 2014, up from 3.3 percent the previous year, driven by a rebound in oil production, and continued strong performance of the non-oil sector.

Non-oil growth was buoyed by strong growth in agriculture, construction, industry, and transport and communication. Inflation decelerated from 2.1 percent at end-2013 to 0.5 percent at end-2014 (year-on-year), driven mainly by lower global food prices.

6. Nevertheless, the Republic of Congo has been hit hard by the oil price shock.

The sharp increase in government spending in recent years has supported growth, but it also increased the country's vulnerability to shocks. Fiscal and current account balances deteriorated in 2014, reflecting increased government spending and the lower oil price.

7. The overall fiscal deficit amounted to 8.5 percent of GDP in 2014, a near doubling from 2013. This reflects continued strong capital spending and lower oil receipts. Despite a 3 percent increase in production, oil receipts declined by 5 percent of GDP in line with oil prices and revisions to various profit sharing arrangements in July 2014.

8. The basic non-oil primary deficit improved from over 74 percent to 72.1 percent of non-oil GDP in 2014. This measure excludes oil receipts, grants, and foreign-financed capital spending. The improvement was due to lower off-budget spending and payments of domestic arrears:

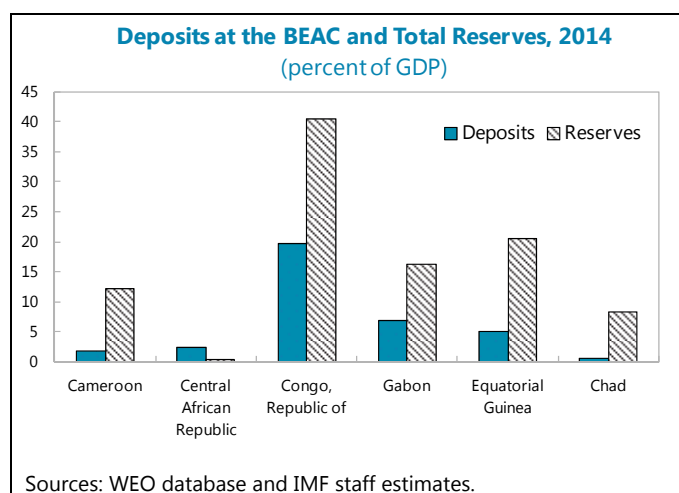
- Current expenditures were broadly in line with budgeted amounts, rising by 2.5 percent of non-oil GDP compared to 2013.
- Domestically-financed on-budget capital spending increased by 2.7 percent of non-oil GDP as construction for the 2015 AAG and the urbanization program continued.
- Non-oil revenues underperformed, falling by 0.5 percent of non-oil GDP compared to 2013, largely owing to lower than expected customs revenues.

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- Off-budget expenditures decreased by 3.2 percent of non-oil GDP.
- Domestic arrears payments amounted to 1.5 percent of non-oil GDP in 2014, down by 4.9 percent of non-oil GDP from 2013.
- Foreign-financed capital expenditures, which is not part of the basic non-oil primary balance, decreased by 7.1 percentage points of non-oil GDP to 11.6 percent of non-oil GDP as only about half of the budgeted amount was executed.

9. In the wake of the decline in oil prices, the government repatriated offshore deposits to finance the fiscal deficit and to bolster official reserves.

- The fiscal deficit of 8.5 percent of GDP was mainly financed by drawing on government deposits held abroad (2.1 percent of GDP) and by borrowing from the regional central bank (about 5.2 percent of GDP).¹



- The current account deficit widened by one percent of GDP to 5½ percent of GDP in 2014. However, official reserves held at the BEAC increased by CFAF 189 billion to CFAF 2,698 billion at end-2014, thanks to the repatriation of government deposits held in China (CFAF 141 billion) and commercial banks' deposits held abroad (CFA 427 billion, see ¶11).²
- As a consequence, the Republic of Congo's international reserves and government deposits at the regional central bank remain at about 9½ months of prospective imports and 20 percent of GDP, respectively, both the highest among members of the Central African Economic and Monetary Community (CEMAC).

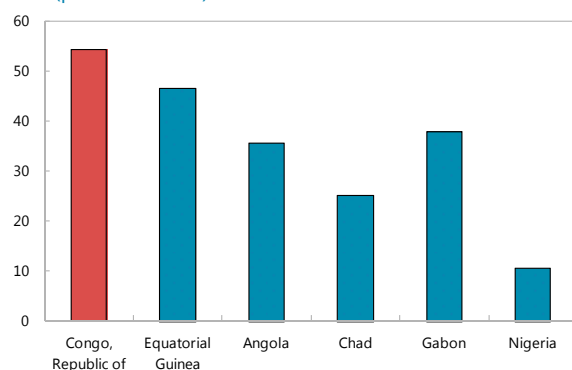
¹ The authorities chose to borrow from the central bank (*avances statutaires*) in order to preserve their deposits at the BEAC which are mostly held in the Fund for Future Generations and for which penalties are incurred in the event of unscheduled drawings.

² In addition to their international reserves at the BEAC, the Republic of Congo's holds offshore deposits in China. These deposits are partly held to provide guarantees for long-term concessional infrastructure loans that make up the bulk of Congo's external debt.

Figure 1. Republic of Congo: Macroeconomic Developments

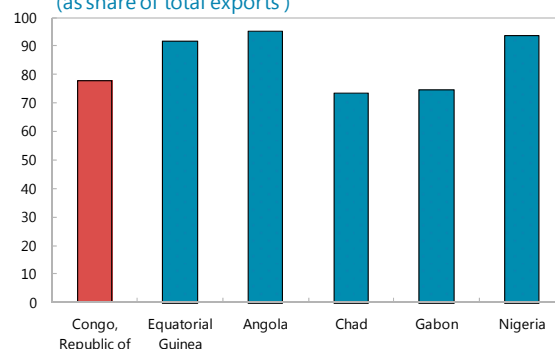
Congo continues to be highly dependent on oil.

Oil GDP, 2014
(percent of GDP)



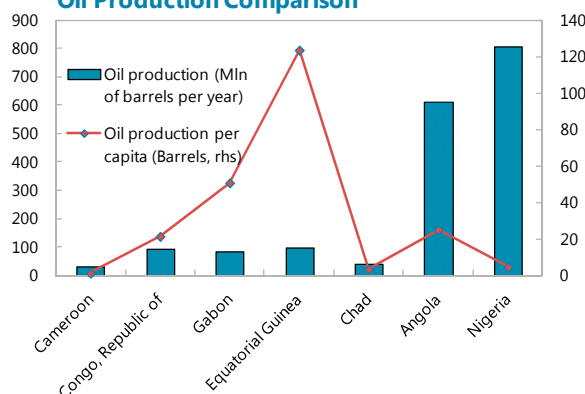
It comprises 80 percent of foreign exchange earnings.

Oil Exports, 2014
(as share of total exports)



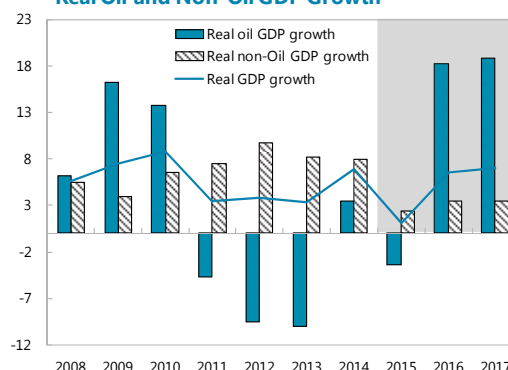
And makes it the 4th largest oil producer in SSA...

Oil Production Comparison



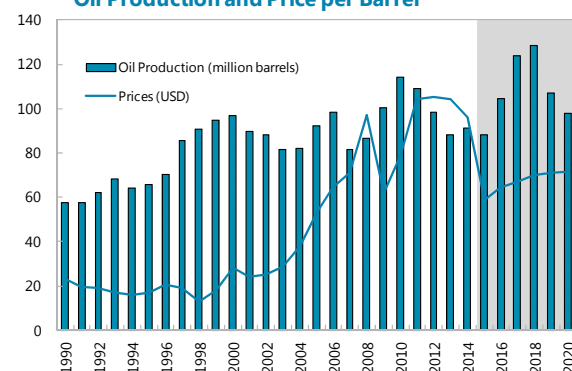
Growth in 2014 was supported by a rebound in oil production after three consecutive years of decline.

Real Oil and Non-Oil GDP Growth



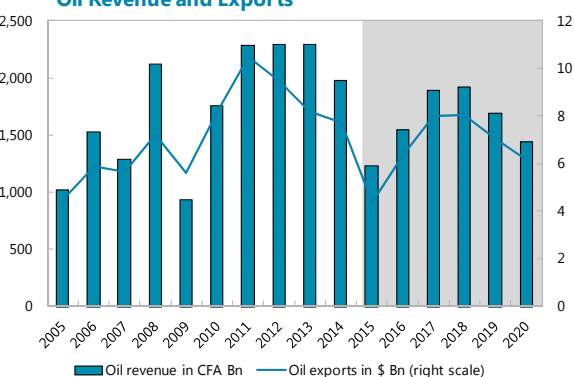
Oil production has increased but oil prices have fallen and are expected to remain low...

Oil Production and Price per Barrel



..as a result, oil receipts and oil exports declined in 2014.

Oil Revenue and Exports



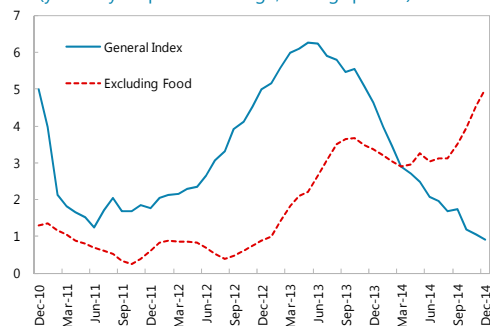
Sources: WEO database, BEAC and IMF Staff estimates.

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Figure 1. Republic of Congo: Macroeconomic Developments (concluded)

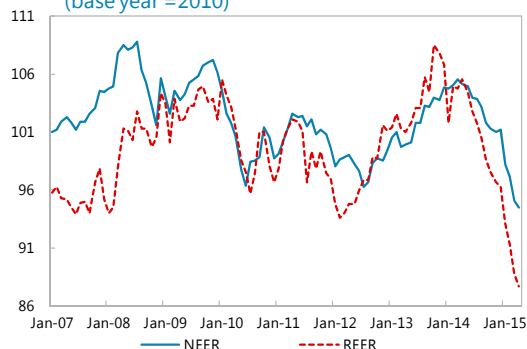
Inflation decelerated in 2014 in spite of higher nonfood inflation...

Consumer Price Index
(year on year percent change, average period)



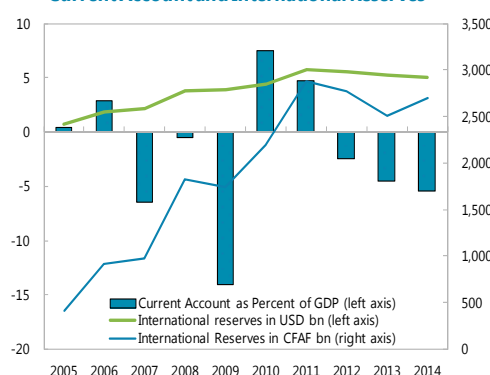
...and CFAF depreciation.

Effective Exchange Rate
(base year = 2010)



The current account deficit widened in 2014 and reserves declined in U.S. dollar terms.

Current Account and International Reserves



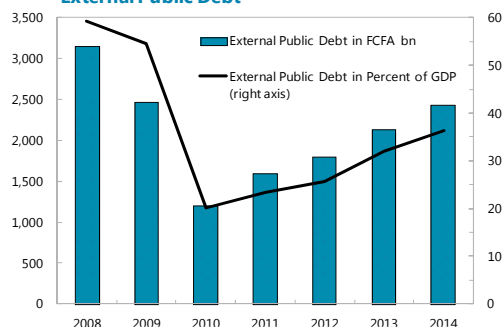
Reserves in months of prospective imports of goods and services increased in 2014.

Gross Reserves
(in months of prospective imports)



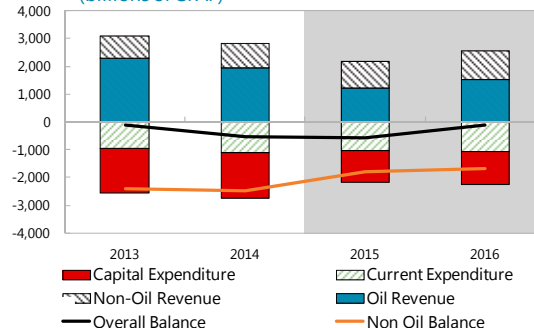
...however external debt is rising

External Public Debt



The fiscal balance deteriorated as oil revenues were lower than expected and expenditures increased.

Revenue, Expenditure and Balance
(billions of CFAF)



Sources: WEO database, BEAC and IMF Staff estimates.

10. The authorities are taking corrective fiscal measures. The 2015 budget is based on an oil price assumption of \$70 per barrel and implies some consolidation. However, in the first quarter Congo received less than \$50 per barrel from its oil exports. In response, only 30 percent of monthly budget allocations for current expenditures were released, except for the wage bill and the salary component of transfers which were executed in full. At the same time, the implementation of lower-priority projects was slowed. In late-May, the Council of Ministers adopted a supplementary budget based on an oil price of \$55. Parliamentary approval is pending.

11. BEAC measures caused commercial banks' net foreign assets (NFA) to decline. The trend increase in banks' NFA observed in recent years reversed in 2014 when the BEAC moved in May and July 2014, facilitating and instructing banks to henceforth conduct foreign exchange transactions directly with the regional central bank rather than building foreign exchange balances abroad. As a result, banks reduced their NFA by CFAF 427 billion (6.4 percent of GDP) during 2014, to CFAF 165.5 billion at end-2014.

12. Despite rising credit growth, financial depth continues to lag peers. The growth of credit to the economy accelerated to 27.6 percent in 2014, from 16½ percent in 2013. Notwithstanding the recent acceleration of credit growth, the ratio of private credit to GDP remains at 15 percent of GDP, well below the level in emerging market economies.

13. Public debt now amounts to about 36½ percent of GDP, up from 32 percent of GDP in 2013 and from 20 percent of GDP in 2010, following the HIPC Completion Point. The increase in the government's gross debt to GDP ratio in 2014 reflects continued borrowing, the terms of trade loss from the sharp decline in oil prices (which reduced nominal GDP growth), as well as valuation changes from the depreciation of the CFAF.

14. Two of three ratings agencies maintained Congo's strong sovereign rating. S&P's downgraded Congo's rating from B+ to B, as part of a reassessment for all oil exporting countries.

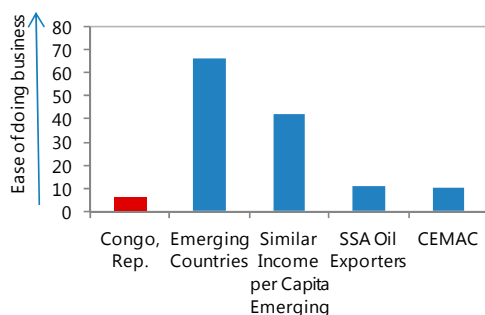
15. Empirical approaches commonly used in the case of oil-exporting countries suggest that Congo's real effective exchange rate is in line with medium-term fundamentals, but competitiveness concerns remain in the non-oil economy (Annex 2). The persistent large non-oil current account deficits (26 percent of GDP in 2014) highlight competitiveness concerns stemming from the challenging business climate and significant infrastructure gaps (Figures 2 and 3). Non-oil exports remained weak in 2014 despite the depreciation of the real effective exchange rate by 2.6 percent in 2014. Congo remains in the lowest 10 percentile rank on the World Bank's overall 'Ease of Doing Business' score. Scores are particularly low for the ease of obtaining credit and electricity, and the quality of the insolvency regime.

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Figure 2. Republic of Congo: Business Environment and Governance

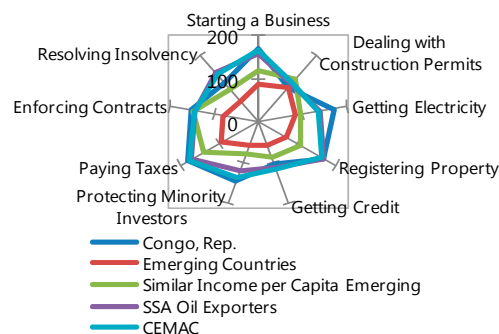
Congo's business climate is challenging....

Ease of Doing Business 2015
(Percentile rank; 100= best)



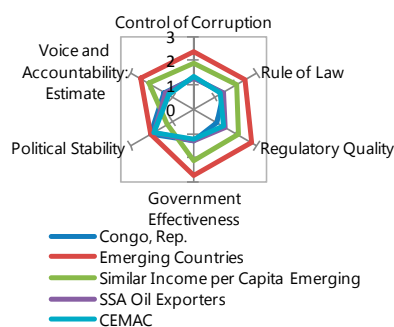
.... compared to regional and global peers

Doing Business Indicators 2015
(Ranking; 189=last place)



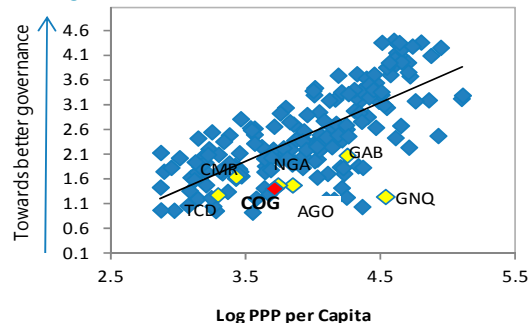
Congo's governance indicators are similar to those in other CEMAC countries...

Governance Indicators (WGI)
(re-scaled, 0=worst, 5 best), 2013 estimate



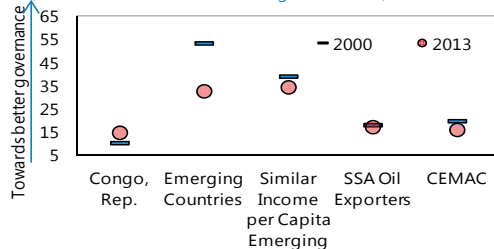
...but lower than expected for a country with a similar income level.

Governance and GDP per Capita
(log PPP)



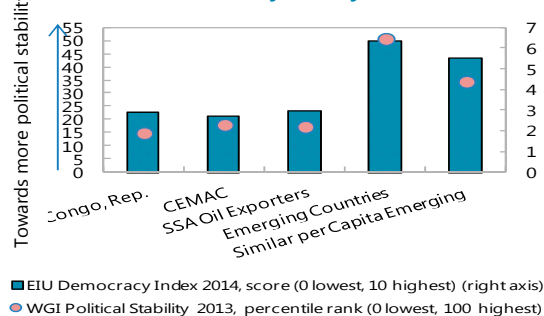
Congo has made limited gains in improving governance ...

Change in Governance Indicator
(Percentile Rank of score average, 100= best)



...on par with the region.

Political and Democracy Stability Score

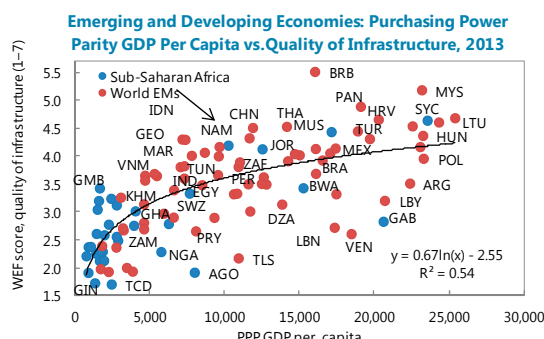


Sources: *Doing Business*, 2015; World Bank's *Worldwide Governance Indicators (WGI)*, 2013, (average of control of corruption, government effectiveness, rule of law, regulatory quality, political stability and voice and accountability); Economist Intelligence Unit (EIU); and IMS staff calculations.

LIC=Low-income country; UMIC= Upper-middle income country; OIL=Oil producers; WGI= Worldwide Governance Indicators. SSA oil exporters = Angola, Cameroon, Chad, Congo, Rep. of, Equatorial Guinea, Gabon, Nigeria.

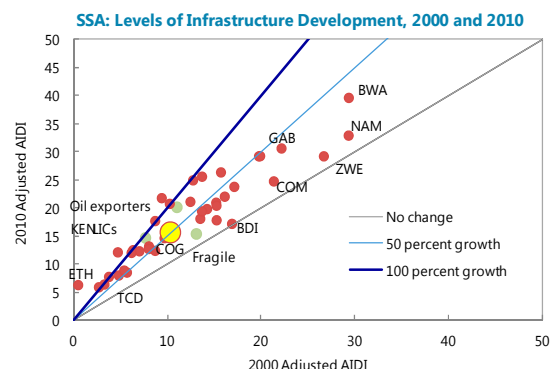
Figure 3. Infrastructure Developments in the Republic of Congo

Quality of infrastructure is associated with higher income per capita in emerging and developing economies...

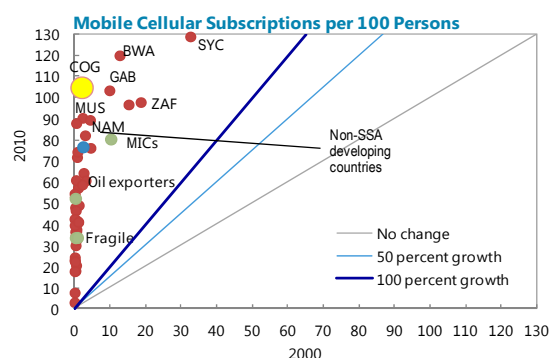


Note: A larger World Economic Forum score (WEF) indicates a higher quality of infrastructure. Republic of Congo is not in the sample.

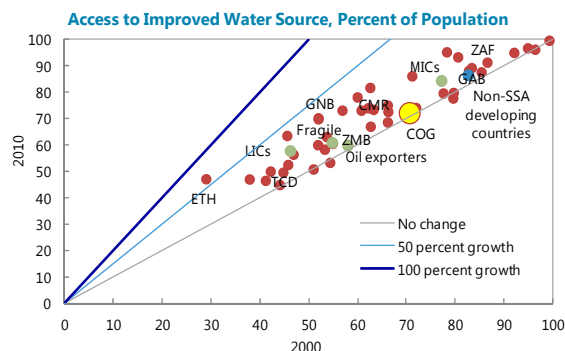
In Congo, despite some progress, infrastructure gaps remain.



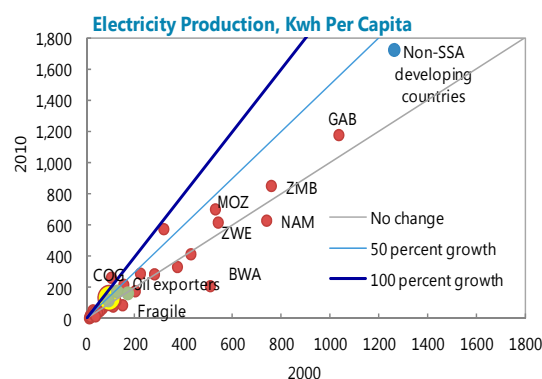
Information communications technology showed the greatest catch-up...



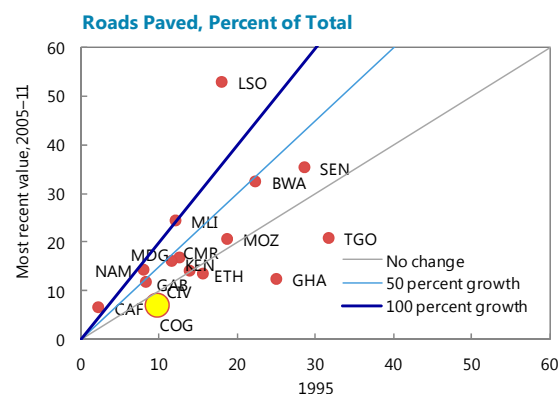
While there has been limited progress in access to water and sanitation.



Electricity supply is inadequate, unreliable and costly...



...and improvement in transport has been very limited.



Sources: October 2014 REO Chapter 3, African Department, IMF and IMF Staff calculations.

OUTLOOK AND RISKS

16. The near- and medium-term outlook will be shaped by developments in the oil sector. Oil production is expected to decline in 2015 mainly due to the delay in the coming on stream of a new oil field. GDP growth in 2015 is projected at 1 percent and to average about 3 percent per annum during 2015–20. The lower international oil price is projected to lead to deterioration in the current account and continued pressure on the budget. This is expected to require the drawdown of government deposits at the BEAC of 6.5 percent of GDP in 2015. Over the period to 2018, the expected increase in oil production from new oil fields coming on stream should improve fiscal and external balances. From 2018, this trend reverses as oil production declines. Non-oil growth is projected to slow to about 3 percent in 2015–16, as public investment spending contracts and mining projects are delayed due to the uncertain global outlook for iron ore. Inflation is projected at 2½ percent over the medium term, underpinned by the pegged exchange rate regime.

17. The path and quality of fiscal adjustment will play a key role. In two alternative scenarios, staff highlighted the implications of continued high government spending and improving public sector investment efficiency, respectively, on the medium-term economic outlook (Text Table):

- **In a “downside” scenario with continued high spending, fiscal adjustment would be postponed by replacing declining oil revenues with external borrowing.** Higher government spending compared to the baseline would provide a short-term boost to growth but increased inflation would erode competitiveness. Together with higher imports, this would lead to deteriorations in the current account deficit over the period 2016 to 2018. Moreover, in view of the projected decline in oil production and receipts from 2018, public debt would by 2019 exceed 60 percent of GDP, such that continued high spending would need to be financed by drawing down reserves. This would eventually trigger the need for a sharper fiscal adjustment in order to preserve reserves and buttress the exchange rate peg. The result in the medium to long term would be lower growth and a permanently deteriorated overall debt position.
- **An “upside policy scenario” illustrates the implications of improving public sector investment efficiency.** The increase in investment efficiency could be achieved by implementing the PEFA and PEMFAR recommendations and enhanced coordination between government agencies (see ¶30–31). In this scenario, increased investment efficiency leads to higher growth in all years relative to the baseline. Although higher growth slightly worsens the medium-term current account, owing to higher imports, in the medium term, the overall fiscal balance and reserves are higher than in the baseline.

Text Table. Republic of Congo: Comparison of Baseline and Alternative Scenarios

				Averages					
	2015-20	2021-27	2028-34	2015-20	2021-27	2028-34	2015-20	2021-27	2028-34
	Baseline			Downside			Upside		
Production and Prices				(annual percentage change)					
Real GDP	2.8	2.6	4.2	2.9	0.9	2.3	3.3	3.1	4.8
Non-oil real GDP	3.2	4.9	5.1	3.3	2.9	3.2	3.7	5.5	5.6
Consumer Prices (end of period)	2.3	2.5	2.6	3.0	2.2	2.5	2.3	2.5	2.6
External Sector				(percent of GDP)					
Current Account Balance	-2.5	1.7	5.1	-6.3	2.3	6.5	0.4	1.6	3.1
Gross Official Foreign Reserves	28.2	17.0	17.1	31.5	16.9	11.3	37.2	40.5	37.0
Gross Official Foreign Reserves (Months of Imports)	5.8	4.2	4.9	6.1	4.4	3.1	8.0	10.2	10.8
External Public Debt (percent of GDP)	40.6	37.0	33.2	55.7	59.9	49.8	40.1	37.3	30.7
Fiscal Aggregates				(percentage of non-oil GDP)					
Nonoil Revenue (inc. grants and investment income)	32.6	31.6	30.9	33.8	33.3	33.1	32.6	31.5	30.6
Total Expenditure	78.8	49.5	33.1	89.1	50.4	39.3	78.0	49.9	32.5
Overall balance (deficit -, commitment basis) 1/	-0.3	1.5	1.9	-10.4	3.3	-1.4	6.1	2.9	2.8
Non-Oil Primary Balance 2/	-45.8	-17.8	-2.1	-54.7	-16.3	-5.5	-44.8	-18.0	-1.5
Memorandum items:				(billions of CFA francs)					
Nominal GDP	7,117	7,646	9,595	7,335	7,527	8,319	7,280	7,904	10,389
Government expenditure and net lending	2,771	2,635	2,889	3296	2,612	2,931	2,783	2,788	3,075
Government Expenditure (growth in percent)	-3.4	0.1	2.7	1.2	-3.1	1.6	-3.3	0.6	2.7

Sources: Congolese authorities; and Fund staff estimates and projections.

1/ Including grants.

2/ Revenue and grants (excluding investment income and oil revenue) minus total expenditures (excluding interest payments).

18. Risks to the outlook are broadly balanced (Risk Assessment Matrix, Annex 3).

Global risks relate to a prolonged period of low oil prices. In the absence of a clearly articulated medium-term fiscal consolidation plan, the accumulation of domestic expenditure arrears could accelerate and risks to debt sustainability increase. This could significantly undermine the resilience of the economy and the fiscal space that is essential to confront the challenges of economic diversification and poverty reduction. It could also give rise to tensions and instability. The upside risk to the baseline scenario relates to improvements in public sector investment efficiency.

Authorities' Views

19. The authorities were more optimistic about non-oil growth. The authorities expect non-oil growth in 2015 to be buoyed by continued strong growth in the agriculture and industry sectors. The AAG are also expected to boost tourism, commerce, and services. The authorities expected household consumption to remain robust, supported by rising public sector wages. At the same time, they acknowledged that uncertainty from the oil price shock could impact consumer and investor sentiment. The spillover effects to the rest of the economy from the

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slowdown in spending in the construction sector are expected to be moderate, since large building projects are mostly undertaken by foreign companies that rely heavily on imports.

20. The authorities reiterated their commitment to prudent fiscal policy over the medium term but noted the spending pressures related to the government's diversification plans. They were closely monitoring oil price developments and recognized the need for improvements in the quality of government spending. The authorities emphasized that it is the government's role to make the necessary investments in basic infrastructure and in education and health to facilitate growth and competitiveness and unlock private sector activity in non-oil sectors. The Special Economic Zones (SEZ) policy is also expected to permit the private non-oil sector to take off.³ Better roads will also help to establish Congo as a 'transit country' for cargo unloaded in Point Noire to be shipped across the region. These investments are expected to have significant returns in terms of boosting non-oil growth in the future.

POLICY DISCUSSIONS

A. Fiscal Policy: Developing the Non-Oil Economy to Protect the Poor

21. Against the background of the limited remaining lifetime of oil reserves, the decline in international oil prices makes the need for fiscal adjustment more urgent. Staff reiterated earlier recommendations regarding fiscal adjustment to preserve medium-term fiscal sustainability. At the same time there is a need to safeguard priority expenditures to address social and infrastructure gaps. The supplementary 2014 budget, ratified in September, deviated from a consolidation path consistent with fiscal sustainability. The supplementary budget entailed a considerable increase in domestically-financed capital expenditures, mainly for the AAG. Following the fall in oil prices, however, on-budget domestically-financed capital spending was under-executed as the authorities prioritized AAG projects and the urbanization program. Additional spending pressures emanate from elections in 2016 (presidential) and 2017 (legislative).

22. The draft supplementary 2015 budget appropriately tightens the fiscal stance. According to the authorities' projections, the supplementary budget envisages a narrowing of the non-oil primary fiscal deficit to about 42 percent of non-oil GDP from 81.2 percent of non-oil GDP in 2014. Staff projects a smaller narrowing of the non-oil primary deficit to a deficit of 57 percent of non-oil GDP in 2015. The consolidation mostly reflects reductions in domestically-financed investment spending. In addition to postponing non-priority projects and not initiating new ones, this would entail partly reversing the doubling of on-budget current and capital expenditures that took place over the past three years. This is expected to have a significant negative impact on non-oil growth, which is projected to decline to 3.2 percent per annum in the period 2015 to 2020, compared to almost 8 percent per annum in the five years preceding.

³ SEZs were discussed in Country Report No. 14/272.

The focus of the adjustment on reductions in investment spending, which has a strong external component, reduces import growth and therefore dampens the overall impact on growth. In view of the projected reduction in expenditure, the authorities should strive to safeguard pro-poor programs, improve investment efficiency to maximize the buildup of capital and safeguard debt sustainability, and ensure that public financial management weaknesses do not generate arrears. Non-oil tax revenue collection is expected to increase from new taxes introduced in 2015, including on mobile telephone operators, and further strengthening of customs administration. Staff recommended that the Supplementary Budget clarify the basis for the strong projected growth of non-oil revenues. Staff also emphasized the importance of preparing contingency plans, given the fluid global situation, to manage downside risks should they materialize. In this regard, staff welcomed the authorities' intention to closely monitor budget execution through comprehensive monthly fiscal reports.

23. The authorities are likely to face important fiscal policy tradeoffs in the rest of 2015. They should carefully weigh the trade-off between financing the projected fiscal deficit from drawing down government deposits at the central bank (as currently assumed in the staff's baseline projections), additional fiscal adjustment, and additional borrowing from external or domestic sources. In particular, it would be useful to analyze the nature and expected benefits of discretionary spending and the comparative costs of alternative financing, including from using the government's fiscal buffers. Maintaining deposits at the regional central bank would provide a buffer in the event of additional adverse shocks, including to oil prices, and would ensure the continued smooth operation of the pegged exchange rate arrangement which has served Congo well. External sustainability will require maintaining a level of reserves above five months of imports to support the exchange rate peg. The decline in oil prices, and its impact on foreign exchange reserves, reinforces the importance of compliance with existing regional reserve pooling requirements.

24. Over the medium-term, it will be important to develop a comprehensive and coherent fiscal adjustment strategy. There are several aspects to this:

- *Strengthen fiscal reporting, including regarding the government's overseas deposits and off budget expenditures.*⁴ In particular, the monthly preparation of the Table of Government Financial Operations (TOFE) budget execution should include off-budget spending above the line and financing from changes in offshore deposits below the line.⁵ Off budget spending mainly comprises in-kind oil payments to finance a number of commercial

⁴ The 2013 TOFE reports negative financing of CFAF 629 billion (9.4 percent of GDP) under "*decalage techniques*" (statistical discrepancy). Based on discussions with the authorities in June 2014, the published 2014 IMF Article IV consultation report noted that this large negative financing reflected a buildup of overseas deposits. However, data newly made available to staff makes clear there was no such build up of offshore deposits. In fact, there was a drawdown of deposits by about CFAF 59 billion during 2013. Outside the coverage of standard fiscal reporting, the money was spent on a power plant built under the supervision of a foreign oil company.

⁵ Consideration could also be given to include subventions to the oil sector (to cover trading shortfalls owing to the operation of administered retail prices for petroleum products) to the transfer expenditures line in the TOFE, in line with the GFS 1986 Manual.

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- agreements and to cover losses incurred by the state oil refinery (CORAF) in maintaining regulated domestic fuel prices. At a minimum, these amounts should be included as memorandum items in fiscal reporting. This is important to make a meaningful assessment of the stance of fiscal policy and to derive a realistic fiscal consolidation path.
- *Adopt a multi-year perspective in fiscal planning.* In this regard, staff recommended that over the next five years, the non-oil primary deficit should be reduced to about 40 percent of non-oil GDP in order to ensure long-term fiscal sustainability (Annex IV).
 - *Strengthen commitment control.* This would help stem the accumulation of domestic spending arrears and curtail increases in public debt that could significantly undermine the resilience of the economy and fiscal policy space.
 - *Enhance macroeconomic surveillance and coordination at the regional level.* In view of the significant and differential impact of the oil price decline in the CEMAC context, the Republic of Congo could spearhead enhanced regional coordination in order to ensure an appropriate policy mix in response to the shock.

25. The impact of fiscal consolidation on longer-term growth and the poor should be minimized. Specific measures could include:

- *Strengthen non-oil revenue collection.* Consideration should be given to minimizing the use of reduced VAT rates and tax exemptions, and strengthening the effectiveness of tax and customs audits and inspections and bringing non-filers into the tax net.
- *Reprioritize capital spending, including off-budget capital spending.* There is scope to rationalize capital spending by prioritizing projects with clear impact on growth potential. Recent work by the IMF⁶ to assess investment efficiency reveals an efficiency gap for Congo which is significantly higher than the average for Low Income Developing Countries. This suggests that there is scope for improved quality of investment. In particular, project selection methods should be enhanced to boost the quality of public investment spending and maximize the level of Congo's long-run capital stock (Annex IV). This should also entail adequate provisions for maintenance costs in budget planning. Also, any off-budget investment spending should be consolidated under the budget process and hence be subject to standardized procedures.
- *Rationalize subsidies that disproportionately benefit the people that least needs them.* Energy subsidies amounted to about 4 percent of non-oil GDP in 2014. With the fall in oil prices, such subsidies have significantly declined to about ½ percent of GDP. Several countries (e.g. Cameroon, Indonesia) have taken advantage of the current environment of low international prices to phase out subsidies on petroleum products. Congo would benefit from implementing similar steps. The prices of utilities should also

⁶ Making Public Investment More Efficient (IMF 2015).

be evaluated. Timing the rollout of a program of energy subsidy reforms to coincide with the introduction of the pilot cash transfer program could help to mitigate the social impact of the removal of energy subsidies (SIP Chapter 2).

- *Consider options to control the growth of the government wage bill.* A multi-year schedule of civil servants' wage increases was announced in 2013, when the outlook for international oil prices was more favorable. The wage bill is forecast to peak at nearly 14 percent of non-oil GDP in 2017, from less than 10 percent in 2013. Part of the upward pressure on the wage bill is expected to emanate from the increase in hiring of qualified health care professionals related to the countrywide medium-term hospital building program aimed at re-balancing the significant geographical inequalities in health care provision. However, increases in wage rates should be moderated.

26. Adherence to a prudent borrowing policy is essential to avoid jeopardizing debt sustainability. External debt has risen steadily in recent years and the authorities intend to mobilize additional borrowing in addition to drawing down the country's oil reserves. Against this background, staff urged the authorities to pursue a prudent borrowing policy that keeps the NPV of net debt below indicative Debt Sustainability Analysis (DSA) thresholds. As a result of the decline in oil prices and the consequent drop in nominal GDP, the NPV of gross external debt to GDP ratio temporarily breaches the 30 percent of GDP threshold in 2015 and 2016. Together with the sustained breaches in the standard stress tests, this would give rise to a downgrade to a "high risk of debt distress." However, an analysis based on net debt, which takes into account Congo's sizable government deposits at the BEAC, indicates that there are only sustained breaches of the thresholds under the stress tests. On this basis, Congo is classified as at "moderate risk of debt distress." To the extent that new borrowing over the medium-term is on less concessional terms than recent years, the risk of debt distress could rise.

27. Staff encouraged the authorities to strengthen debt management and also take into account the drawdown of oil wealth. As the authorities seek to broaden financing sources, it would be important to develop a medium-term debt strategy (MTDS), strengthen skills for evaluating financing offers, and to enhance transparency in debt and asset management. As regards the option to issue government bonds in the local and regional markets, staff recommended strengthening institutional and analytical capacities before proceeding. This should include drawing up a strategy, in close collaboration with CEMAC partners, to develop the regional government securities market and outlining in more detail the financing requirements that would be covered by government securities and other sources, in the MTDS.

Authorities' Views

28. The authorities had mixed views on staff's recommendations. The authorities aimed to fast track Parliamentary approval of the 2015 supplementary budget. They also highlighted their intention to consider additional cuts in expenditure in the event of further revenue shortfalls. The expenditures related to the AAG were the authorities' main immediate priority.

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The pace of other investment expenditures would be slowed and projects completed over a longer period of time. The authorities would not consider making adjustments to the announced multi-year increases in civil servants' salaries because of their commitments to social partners. They also argued that the rural poor would be hit hardest by the removal of energy subsidies and would therefore maintain the current system of administered prices for petroleum products. The authorities acknowledged that off-budget expenditures had caused discrepancies in the fiscal accounts and agreed that, going forward, off-budget spending, including for energy subsidies, should be consolidated in fiscal reporting.

B. Public Financial Management Reforms

29. The PFM system faces a number of challenges in critical areas. Progress has been made in recent years in refining the legislative framework for the budget, strengthening the public procurement system, and in developing a medium-term budget framework. Significant shortcomings remain, however, in adhering to budget allocations during execution. In addition, the budget does not provide full coverage of government revenues and expenditures (see ¶24). Shortcomings in commitment control are also evident, in particular for investment expenditures, while there is also frequent recourse to in-year budget adjustments. These practices complicate budget management and the timely and accurate reporting of expenditures. This is further compounded by weaknesses in accounts preparation. A visible result of these shortcomings is the persistence of domestic payment arrears at some 5.5 percent of GDP and there are risks from further arrears being generated by the reduction in public spending.

30. Since the adoption of the Organic Law in 2012, reforms have mainly focused on the transposition of the six CEMAC PFM Directives. The government is taking important steps to transpose the CEMAC PFM Directives through draft legislation on fiscal transparency, budget classification, and the chart of accounts. The draft fiscal responsibility and transparency (FRT) law would establish guiding principles for other PFM laws and includes provisions on natural resources revenue transparency which would complement Congo's compliant status under the Extractive Industry Transparency Initiative (EITI) since February 2013. This should be implemented expeditiously and remain consistent with the relevant CEMAC directive. The authorities have also made efforts to work on improving the expenditure management under the IT system (SIDERE), and program budgeting is being developed. While the efforts to transpose the Directives are welcome, implementation of PFM reforms is lagging in some critical areas. These are highlighted in the recent PEFA assessment, which presents an opportunity to refocus reforms on these critical shortcomings (Box 1). At the same time, reinvigorating the reform process will require a clearer institutional framework and a review of the timeline of activities in order to ensure appropriate sequencing.

31. Staff encouraged implementation of measures to enhance the equity and efficiency of government spending based on the findings of the PEMFAR. This includes:

- Prioritizing the budgetary allocations to the agriculture and social sectors (health and education) and building capacity of staff in these ministries in PFM issues whilst improving monitoring and evaluation of projects to address low execution rates;
- Improving the allocations of public resources, including by providing a geographic coverage of the budget by regions or rural vs. urban areas;
- Piloting, and eventually mainstreaming, a pro-poor cash transfer program that is well-targeted and adequately monitored;
- Improving access to health care, for example by waiving user fees for the poor and compensating providers as part of the government's universal health care coverage, to be rolled out over the medium term; and
- Prioritizing infrastructure spending with a stronger growth and human development impact.

Box 1: Public Expenditure and Accountability Framework Assessment and Recommendations

A follow up to the initial 2006 assessment under the PEFA was undertaken in 2014. The PEFA recognizes progress made since the earlier assessment in introducing a medium-term budgetary framework, reforms to the procurement system and the clearer legal underpinnings provided by the 2012 budget framework law. At the same time, the assessment finds continued important scope to strengthen the credibility of budget allocations; the scope and coverage of budget documents; timeliness and accuracy of accounting data; internal control and transparency. In addition, a critical cross-cutting issue that hampers progress across the cycle of budgetary operations is the performance of the various IT systems underpinning the PFM system.

Against this background, staff recommended that an updated reform plan should contain the following critical elements:

- Broadening the scope of budget documentation and fiscal reporting and consolidating off-budget spending;
- Ensuring reliable forecasts of fiscal aggregates and strengthening commitment controls and procedures to help prevent further accumulation of arrears;
- Tightening procedures for in-year budget adjustments;
- Taking a multi-year perspective in fiscal planning, in particular for commitments on investment projects;
- Reinforcing the link between the National Development Plan (NDP) and budgetary allocations; and
- Rationalizing IT systems to ensure full coverage and inter-operability between key departments and modules.

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Authorities' Views

32. The authorities gave high priority to PFM reforms and considered that their focus on the overarching legal framework, as set out in the CEMAC Directives, was appropriate.

In particular, they noted their intention to move ahead with the FRT law before the end of the year. The authorities emphasized that ongoing projects were not being cancelled and only postponed. For this reason, the costs of the projects should not increase and arrears should not accumulate. The authorities consider that the problem of payment arrears may be overstated, depending on the accounting conventions used for their recording, as their definition of arrears differs from that of private sector companies. The authorities nevertheless broadly agree that a more comprehensive presentation of government fiscal operations is appropriate, and indicated their willingness to further engage with IMF staff on how to move ahead with this. The question of providing geographical information on budget allocations, meanwhile, was something that the authorities considered to be best addressed in the context of their ongoing efforts to move towards a program budgeting approach to budget preparation.

33. With regard to public investment efficiency, the authorities indicated that they intended to give higher priority to quality concerns in the public investment program.

In terms of sectoral priorities, however, they considered that agriculture allocations were appropriate and that a range of flanking policies in rural areas (health, electricity, water, transportation, etc.) were equally important for developing agricultural potential. With regard to the proposed cash transfer program, in the second half of 2015 the authorities plan to roll out the *Lisungi* project, with World Bank support, across a number of pilot districts.

C. Promoting Financial Sector Development and Inclusion

34. An analysis of macro-financial linkages suggests that the decline in oil prices may have important spillover effects to the financial sector.

Banks' compliance with CEMAC prudential ratios remains, on average, broadly adequate. Three (out of the 10) banks do not maintain capital above the COBAC CFAF 10 billion minimum. Two of these have drawn up time-bound recapitalization plan. The third bank may be turned into an SME bank with the government taking a share in it. The non-performing loan (NPL) ratio more than doubled, albeit from low levels, to 2.5 percent in 2014. The stress tests in the January 2015 FSAP highlight that Congolese banks would be most vulnerable to a re-classification of performing loans to NPLs. In light of this, anecdotal reports of a buildup of government arrears to domestic private sector operators underscore the risk that the large decline in oil revenues and the resulting need to reduce government spending could lead to a further increase in NPLs.

35. Increased financial access and intermediation could have important economic benefits.

The Republic of Congo's financial sector is shallow, highly concentrated, and characterized by limited inclusiveness (SIP chapter 3). Staff's analysis suggests that increasing access to bank lending and other financial services, increasing the quality of loan collateral and lowering bank intermediation costs could have an important impact on growth, productivity, and inequality. In light of this, staff advised to (i) accelerate the implementation of a centralized

balance sheet bureau to strengthen the quality of accounting data; (ii) strengthen the credit registry; (iii) establish a property registry and a unique window to register land titles; (iv) strengthen the judicial framework by boosting the judges' and tribunals' capacity to address financial sector issues. In addition, there is scope to encourage microfinance and mobile banking by fostering collaboration between commercial banks, microfinance institutions and telecommunication companies and move forward with the ongoing implementation of the electronic payment system for taxes and utilities and developing the bank branches network. The authorities are encouraged to work in close collaboration with COBAC and BEAC on financial innovations to ensure consistency with regional regulations. Staff encouraged the authorities to put in place a strategy to develop the financial sector that includes a roadmap of prioritized time-bound actions, involves all the relevant stakeholders, and whose implementation is proactively monitored.

36. AML/CFT. Staff encouraged the authorities to move forward with ensuring financial sector compliance with customer due diligence (CDD) and operationalizing the recently created financial intelligence unit (ANIF-Congo) and ensuring that it has an adequate budget that will allow it to immediately undertake its core functions independently.

Authorities' Views

37. The authorities highlighted that the FSAP findings showed that the Congolese banks were the most resilient to shocks among the banks in the CEMAC region.

They recognized the importance of encouraging financial sector development in order to promote the diversification of the economy. The authorities acknowledged that the successful development of the sector requires reforms of the legal system to facilitate use of collateral. They considered that progress has been made in requiring civil servants to receive salaries through bank accounts and the development of mobile banking. More generally, the authorities are in the process of reviewing and updating their 2006 financial sector development strategy which would also ensure that national measures are fully integrated with regional objectives in the CEMAC context.

D. Other Surveillance Issues

38. The quality and timeliness of macroeconomic data needs to be improved.

This would benefit the implementation of the Republic of Congo's important agenda of macroeconomic and structural reforms, as well as ensure compliance with data provision obligations under Article VIII (e.g. in relation to IIP data, off-budget spending, and deposits held abroad). In this regard, staff encouraged the authorities to operationalize the National Strategy for Statistics Development (NSSD) to address data issues and technical capacity constraints over the coming years. Staff also underscored the need to ensure adequate funding to the statistics agency and emphasized the need to clarify which agency is in charge of compiling and providing national accounts and debt data and to make sure that all government agencies unify their data in a coherent manner.

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39. The authorities are encouraged to improve policy coordination and monitoring.

This would be instrumental in ameliorating the efficiency and effectiveness of macroeconomic and structural reform policies. For instance, the PEMFAR highlights that the planning, budgeting, and implementation of public investment would benefit from enhanced coordination between all institutions relevant to public investment spending. At the same time, the impending need to renew the 2012–2016 NDP in 2016 presents an opportunity to more firmly embed Congo's development objectives in the context of further regional integration, including transportation infrastructure.

Authorities' View

40. The authorities noted that the implementation of the NSSD is underway.

They recognized the assistance from development partners (the World Bank, AFRISTAT, IMF) and indicated that the aim is for all official statistics to be unified and to eventually have the National Institute of Statistics be the single entity responsible for disseminating statistics.

41. The NDP provides the overall strategic vision within which public investment expenditures are made. Building on an evaluation of the second period of the NDP, the authorities will prepare a new development plan which will encompass the post 2015 Millennium Development Goals agenda and the objectives of the continent.

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42. Growth was strong and inflation moderated in 2014. Growth rose to 6.8 percent in 2014, driven by a rebound in oil production. Inflation eased to 0.5 percent at end-2014 (year-on-year), driven mainly by lower global food prices.

43. But Congo has been hit hard by the oil price shock. The fiscal deficit amounted to 8.5 percent of GDP in 2014, a near doubling from 2013, owing mostly to increased spending and the lower oil receipts. The current account balance also deteriorated.

44. The economy is projected to expand by about 3 percent per annum during 2015–20 as new oil fields come on stream. Though necessary, the fiscal consolidation implied by the supplementary budget is expected to result in growth slowing to 1 percent in 2015. Risks to the outlook relate to oil price volatility, persistently low oil prices, accumulation of domestic payment arrears, and domestic instability. While Congo's real effective exchange rate is broadly in line with macroeconomic fundamentals, the performance of non-oil exports is weak and points to competitiveness concerns.

45. The 2015 supplementary budget should be passed swiftly and its implementation monitored closely. The authorities should weigh carefully their response to revenue shortfalls and expenditure overruns. Maintaining deposits at the regional central bank would provide a buffer in the event of additional adverse shocks. Contingency plans should be prepared to address downside risks.

46. Safeguarding fiscal and debt sustainability will require a coherent medium-term fiscal adjustment strategy. In view of the limited remaining lifetime of oil reserves, and continued low prices, fiscal policy should be anchored on a gradual multi-year reduction in the non-oil primary deficit. The rise in government debt since the 2010 HIPC/MDRI relief in addition to the drawdown of oil reserves, underscores the importance of continued adherence to a prudent borrowing policy that keeps the NPV of net debt below indicative DSA thresholds. This should also be coordinated within the context of a revised CEMAC macroeconomic surveillance framework (See CEMAC Staff Report).

47. Public expenditure should increasingly be oriented towards policies to support inclusive growth and pro-poor programs. The link between the actions in the NDP and the annual budgets should be clearly established during budget preparation, with a stronger focus on economic diversification. The selection, evaluation, and monitoring of investment projects, as well as the budgeting of their operating and maintenance costs, need to be strengthened. More broadly, the authorities are encouraged to follow up on the recommendations from the PEFA and PEMFAR to strengthen budget execution, procurement and disbursement processes and improve the efficiency and quality of spending.

48. Fiscal adjustment should be underpinned by improved revenue policies and PFM reforms. There is scope to boost non-oil revenues by limiting the use of reduced VAT rates and tax exemptions whilst reinforcing tax and customs administration. PFM reforms should focus on improving the quality of investment, resolving the accumulation of arrears, and ensuring comprehensive fiscal reporting that consolidates off-budget spending, possibly with IMF technical assistance.

49. Financial sector reforms are essential to underpin growth, diversification and reduce inequality. The financial sector should benefit from the authorities' plans to revise its strategy in this sector with a view to covering recent innovations and consistency with regional objectives. Key priorities remain the improvement of the credit registry, establishing a property registry and a unique window to register land titles, and strengthening the judicial framework. Promoting broader usage of microfinance and mobile banking should also enhance financial access.

50. External sustainability should aim at maintaining a level of reserves above five months of imports to support the exchange rate peg. The decline in oil prices, and its impact on foreign exchange reserves, reinforces the importance of compliance with CEMAC reserves pooling requirements to underpin the pegged exchange rate arrangement. In this regard, staff welcomes the repatriation of part of Congo's overseas deposits and recommends a continuation of this policy.

51. The quality and timeliness of macroeconomic statistics needs urgent strengthening, to help improve macroeconomic analysis and policymaking and ensure compliance with obligations under Article VIII. Progress needs to be made in improving capacity and

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operationalizing the NSSD. In particular, macroeconomic statistic should be unified across government agencies and the national statistics agency should have adequate funding.

52. It is recommended that the next Article IV consultation take place on the standard 12-month cycle.

Proposed Decision

The following decision is proposed for adoption by the Executive Board:

1. The Executive Board endorses the thrust of the staff appraisal in the report for the 2015

Article IV consultation with the Republic of Congo SM/15/168, 7/2/15.

2. It is expected that the next Article IV consultation with the Republic of Congo will take

place on the standard 12-month cycle.

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Table 1. Republic of Congo: Selected Economic and Financial Indicators, 2013–20

	2013	2014	2015	2016	2017	2018	2019	2020
	Projections							
	(Annual percentage change unless otherwise indicated)							
Production and prices								
GDP at constant prices	3.3	6.8	1.0	6.5	7.0	3.4	-1.6	0.3
Oil	-10.2	3.4	-3.4	18.2	18.8	3.5	-16.4	-9.0
Non-oil	8.1	7.9	2.3	3.4	3.3	3.4	3.6	2.9
GDP at current prices	-4.6	0.5	-17.3	16.1	22.2	2.0	-4.7	-4.8
GDP deflator	-7.7	-6.0	-18.2	9.0	14.2	-1.4	-3.1	-5.1
Consumer prices (period average)	4.6	0.9	0.9	1.7	2.5	2.5	2.5	2.5
Consumer prices (end of period)	2.1	0.5	1.8	2.1	2.4	2.5	2.5	2.5
External sector								
Exports, f.o.b.	-10.1	-3.6	-25.6	36.9	22.6	0.3	-9.7	-9.6
Imports, f.o.b.	9.0	3.2	-18.4	12.0	-0.4	6.2	8.2	-13.9
Export volume	-11.1	3.9	-1.8	25.5	7.1	3.5	-12.3	-4.7
Import volume	8.0	2.5	-28.1	16.2	3.7	4.9	3.9	-8.4
Terms of trade (deterioration -)	-0.1	-4.6	-26.8	-9.9	-13.4	-4.4	-1.2	0.9
Current account balance (percent of GDP)	-4.5	-5.5	-10.7	-6.0	3.4	2.7	-3.0	-1.2
Gross official foreign reserves (CFAF billion)	2,509	2,698	2,194	2,015	2,109	2,154	1,753	1,565
(Months of imports)	7.4	9.3	6.5	5.9	5.9	5.3	5.3	5.0
(Percent of GDP)	38	40	40	31	27	27	23	22
External public debt (percent of GDP)	32.0	36.4	48.5	44.3	38.0	36.7	37.6	38.6
Monetary sector								
Broad money (growth)	0.7	13.1	1.6	...	...	...	...	...
Credit to the economy (growth)	16.5	27.6	15.5	...	...	...	...	...
	(Percent of GDP)							
Investment and saving								
Gross national saving	26.5	29.9	23.9	25.4	30.1	29.0	25.1	26.0
Gross investment	30.9	35.4	34.6	31.4	26.7	26.4	28.1	27.2
	(Percent of non-oil GDP)							
Central government finances								
Total revenue	111.7	93.9	71.7	80.1	87.9	86.1	76.9	68.6
Oil revenue	82.1	64.7	39.6	47.5	55.1	53.1	44.0	35.8
Nonoil revenue (inc. grants and investment income)	29.6	29.2	32.1	32.6	32.7	33.0	32.7	32.6
Total expenditure	116.0	110.9	89.6	84.0	81.6	76.2	74.1	67.2
Current	33.7	36.2	32.6	32.0	32.7	30.8	29.9	29.4
Capital (and net lending)	57.7	53.2	37.6	36.6	34.4	31.6	31.2	25.4
Off-budget	24.6	21.4	19.4	15.4	14.6	13.8	13.0	12.4
Overall balance (deficit -, commitment basis) 1/	-4.3	-17.0	-17.9	-3.9	6.2	9.9	2.8	1.3
Non-oil primary balance (- = deficit) 2/	-85.7	-81.2	-57.3	-51.1	-48.6	-42.9	-40.9	-34.2
Basic primary fiscal balance (- = deficit) 3/	14.1	-5.9	-5.6	6.1	15.1	14.8	3.2	1.7
Basic non-oil primary balance (- = deficit) 4/	-68.0	-70.6	-45.2	-41.4	-40.0	-38.3	-22.8	-16.9
Basic non-oil primary balance (cash basis)	-74.4	-72.1	-46.4	-43.5	-42.0	-39.3	-23.7	-17.8
	(Percent of total government revenue excluding grants)							
External public debt service (after debt relief)	5.2	6.6	7.4	6.9	6.3	7.6	9.2	8.3
External public debt (after debt relief)	68.8	86.0	122.4	110.3	99.6	95.1	98.1	102.7
	(Billions of CFA francs, unless otherwise indicated)							
Nominal GDP	6,657	6,689	5,528	6,421	7,848	8,007	7,633	7,265
Nominal non-oil GDP	2,796	3,050	3,098	3,253	3,434	3,624	3,845	4,020
World oil price (U.S. dollars per barrel)	104	96	59	64	67	70	71	71
Oil production (Millions of barrels)	88	91	88	104	124	128	107	98
Nominal Exchange rate (CFA/USD, period average)	494	494	...	...	...	...	...	...
REER (percentage change)	7.4	-2.6	...	...	...	...	...	...

Sources: Congolese authorities; and Fund staff estimates and projections.

1/ Including grants.

2/ Revenue and grants (excluding investment income and oil revenue) minus total expenditures (excluding interest payments).

3/ Revenue (excluding investment income and grants) minus total expenditures (excluding interest payments and foreign-financed investment).

4/ Basic primary balance minus oil revenue.

Table 2. Republic of Congo: Medium Term Balance of Payments, 2013–20

	2013	2014	2015	2016	2017	2018	2019	2020
	Projections							
	(Billions of CFA francs)							
Current account	-298	-367	-589	-384	263	213	-233	-89
<i>of which non-oil</i>	-1,843	-1,766	-1,302	-1,305	-1,178	-1,376	-1,596	-1,236
Trade balance	2,309	2,067	1,361	2,357	3,404	3,283	2,543	2,408
Exports, f.o.b.	4,675	4,509	3,353	4,590	5,628	5,644	5,099	4,609
Oil sector	4,039	3,814	2,564	3,693	4,619	4,590	3,976	3,418
Non-oil sector	636	694	789	897	1,009	1,054	1,122	1,191
Imports, f.o.b.	-2,366	-2,442	-1,993	-2,233	-2,224	-2,361	-2,556	-2,201
Oil sector	-519	-612	-487	-609	-602	-518	-441	-369
Government	-971	-905	-579	-656	-613	-789	-1,013	-687
Non-oil private sector	-877	-924	-927	-967	-1,009	-1,054	-1,102	-1,146
Balance of services	-1,227	-1,223	-1,069	-1,308	-1,352	-1,346	-1,244	-1,147
Oil sector	-622	-621	-494	-744	-805	-777	-660	-569
Nonoil sector	-605	-603	-575	-563	-548	-568	-584	-578
Income	-1,190	-1,008	-627	-1,169	-1,516	-1,470	-1,269	-1,081
Labor income	-57	-53	-35	-51	-65	-64	-55	-47
Investment income	-1,133	-955	-592	-1,118	-1,451	-1,405	-1,214	-1,034
Current transfers (net)	-190	-202	-254	-265	-273	-254	-262	-268
Capital account	26	31	30	26	25	28	28	27
Debt forgiveness 1/	0	0	0	0	0	0	0	0
Official grants	26	31	30	26	25	28	28	27
Financial account	-90	390	59	181	-193	-196	-195	-127
Direct investment (net)	1,248	1,311	879	1,393	1,048	1,021	898	783
<i>Of which: oil sector</i>	1,109	1,121	799	1,314	970	938	808	688
Other investment	-1,338	-922	-819	-1,212	-1,241	-1,217	-1,093	-910
Medium and long term	365	185	252	187	153	-23	-28	16
Public sector	340	157	232	155	124	-53	-55	-15
Drawings	497	324	374	313	294	164	195	196
Project	497	324	374	313	294	164	195	196
Amortization 2/	-157	-168	-142	-158	-170	-217	-250	-210
Private sector	25	29	20	32	30	29	27	31
Oil	14	14	13	25	22	21	18	16
Non-oil	11	15	7	7	8	8	8	15
Short term	-1,703	-1,107	-1,072	-1,399	-1,394	-1,194	-1,065	-926
Errors and omissions	0	0	0	0	0	0	0	0
Overall balance of payments	-362	54	-500	-177	95	45	-400	-188
Financing	362	-54	500	177	-95	-45	400	188
Reserve financing	269	-195	500	177	-95	-45	400	188
IMF (net)	-2	-3	-3	-2	-1	-1	0	0
Purchases / Disbursements	0	0	0	0	0	0	0	0
Repurchases / Repayments	-2	-3	-3	-2	-1	-1	0	0
Other reserves	269	-195	500	177	-95	-45	400	188
Government deposits abroad 3/	59	141	0	0	0	0	0	0
Exceptional financing 4/	34	0	0	0	0	0	0	0
Financing gap (- = surplus)	0	0	0	0	0	0	0	0

Sources: BEAC; and Fund staff estimates and projections.

1/ Country Report No. 11/67.

2/ Includes stock debt relief of the HIPC completion point.

3/ Staff estimates based on preliminary data.

4/ Includes flow debt relief from Paris Club and London Club, and payments to litigating creditors.

REPUBLIC OF CONGO

Table 3. Republic of Congo: Central Government Operations, 2013–20

	2013		2014			2015				2016	2017	2018	2019	2020
	Budget		Sup Budget	SR Proj.		Budget	Budget (supp. Prelim.) 6/	SR Proj.	Revised Proj.	Projections				
(Billions of CFA francs)														
Total revenue and grants	3,512	3,123	3,465	3,193	2,863	2,648	2,269	3,237	2,221	2,606	3,018	3,120	2,955	2,756
Primary Revenue	3,339	3,096	3,263	3,146	2,831	2,475	2,095	3,205	2,181	2,574	2,987	3,087	2,922	2,723
Oil revenue	2,597	2,295	2,378	2,250	1,973	1,479	860	2,205	1,226	1,545	1,894	1,924	1,692	1,440
Non-oil revenue	741	801	885	895	857	996	1,236	1,000	955	1,028	1,094	1,163	1,231	1,284
Direct taxes	288	321	343	350	360	336	336	391	336	356	380	405	434	458
Taxes on goods and services	273	296	317	333	333	403	403	372	403	425	451	479	503	520
Customs Receipts	150	148	195	172	155	220	196	192	196	208	222	236	248	257
Non-tax revenue	31	36	30	40	10	33	300	45	20	39	41	43	46	49
Interest on deposits	30	1	20	9	1	10	10	10	10	6	6	6	5	6
Grants	144	26	182	38	31	163	164	23	30	26	25	28	28	27
Expenditure and net lending	2,818	3,243	3,600	2,831	3,381	3,055	2,706	2,880	2,775	2,732	2,803	2,762	2,848	2,703
Current expenditure	1,022	943	1,106	1,077	1,106	993	1,010	1,182	1,011	1,042	1,123	1,116	1,150	1,180
Wages	270	275	324	308	323	369	369	345	369	420	470	482	494	506
Other current expenditure	698	650	731	718	743	577	594	790	601	581	611	593	616	637
Goods and services	260	257	327	324	338	282	222	358	222	233	239	245	251	257
Transfers	332	264	301	294	303	206	203	324	209	248	270	243	257	269
Common charges	106	98	102	100	103	89	169	108	169	100	102	105	108	110
Local authorities	35	32	36	36	25	32	32	31	25	24	24	23	22	21
Interest	19	18	15	15	15	15	15	16	16	16	17	19	18	16
Capital expenditure	1,796	1,612	2,495	1,754	1,624	2,062	1,696	1,698	1,164	1,190	1,181	1,146	1,198	1,023
Domestically financed	1,048	1,089	1,846	1,343	1,269	1,477	1,110	1,375	760	850	862	954	975	800
Externally financed	749	523	649	411	355	585	586	323	404	340	319	192	223	223
Off-budget expenditure	0	688	0	0	652	0	0	0	600	500	500	500	500	500
Net lending	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Non-oil primary balance 1/	-1,914	-2,398	-2,518	-1,883	-2,478	-1,881	-1,291	-1,841	-1,774	-1,661	-1,668	-1,553	-1,571	-1,376
Basic primary balance 2/	1,288	395	326	741	-180	20	-10	664	-174	198	520	536	125	69
Of which: Basic non-oil primary balance 3/	-1,309	-1,900	-2,052	-1,509	-2,153	-1,459	-869	-1,541	-1,400	-1,347	-1,374	-1,389	-876	-680
Overall balance, commitment basis														
Excluding grants	551	-146	-317	324	-550	-570	-601	335	-584	-152	190	331	79	26
Including grants	694	-120	-135	362	-518	-407	-437	357	-554	-126	215	358	107	53
Change in arrears	-68	-180	-38	-137	-47	0	0	-103	-38	-68	-68	-34	-34	-34
External	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Domestic	-68	-180	-38	-137	-47	0	0	-103	-38	-68	-68	-34	-34	-34
Overall balance, cash basis	627	-300	-173	225	-565	-407	-437	255	-593	-194	146	324	73	19
Basic non-oil primary balance, cash basis	-1,376	-2,081	-2,089	-1,646	-2,201	-1,459	-869	-1,644	-1,438	-1,416	-1,442	-1,423	-911	-715
Financing	-628	300	221	-225	565	407	437	-255	593	194	-146	-324	-73	-19
Foreign (net)	470	433	509	216	286	265	271	118	232	155	124	-53	-55	-15
Drawings	605	497	467	374	324	422	422	300	374	313	294	164	195	196
Amortization due	-135	-157	-157	-157	-180	-157	-152	-182	-142	-158	-170	-217	-250	-210
Rescheduling obtained	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Debt cancellation	0	34	0	0	0	0	0	0	0	0	0	0	0	0
Other	0	59	199	0	141	0	0	0	0	0	0	0	0	0
Deposits abroad 4/	0	59	0	0	141	0	0	0	0	0	0	0	0	0
Loans	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Domestic (net)	-1,098	-134	-288	-441	280	142	166	-373	360	39	-270	-272	-18	-4
Banking system (net)	-1,098	27	-288	-441	340	142	166	-373	360	39	-270	-272	-18	-4
Nonbank financing	0	-161	0	0	-60	0	0	0	0	0	0	0	0	0
Financing gap (= surplus)	0	0	48	0	0	0	0	0	0	0	0	0	0	0
Memorandum items:														
Basic fiscal balance 5/	1,299	377	331	736	-194	15	-15	657	-180	188	509	523	302	249
Stock of government deposits	2,448	1,324	982	1,765	982	1,194	1,194	2,138	622	582	852	1,123	1,141	1,145
GDP at current market prices	7,261	6,657	6,689	6,851	6,689	5,528	5,528	7,277	5,528	6,421	7,848	8,007	7,633	7,265
Non-oil GDP at market prices	2,796	2,796	3,050	3,111	3,050	3,098	3,098	3,437	3,098	3,253	3,434	3,624	3,845	4,020

Sources: Congolese authorities; and Fund staff estimates and projections.

1/ Revenue and grants (excluding investment income and oil revenue) minus total expenditures (excluding interest payments).

2/ Revenue (excluding investment income and grants) minus total expenditures (excluding interest payments and foreign-financed investment).

3/ Basic primary balance minus oil revenue.

4/ Fund staff estimates based on preliminary data.

5/ Overall budget balance, excluding grants and foreign-financed investment.

6/ Reflects the supplementary budget approved by the ministerial cabinet and awaiting formal ratification by parliament

Table 4. Republic of Congo: Central Government Operations, 2013–20

	2013		2014		2015				2016	2017	2018	2019	2020	
	Budget		Sup. Budget	SR Proj.		Budget	Budget (supp. Prelim.) 6/	SR Proj.	Revised Proj.	Projections				
(Percent of non-oil GDP)														
Total revenue and grants	125.6	111.7	113.6	102.6	93.9	85.5	73.2	94.2	71.7	80.1	87.9	86.1	76.9	68.6
Primary Revenue	119.4	110.7	107.0	101.1	92.8	79.9	67.6	93.2	70.4	79.1	87.0	85.2	76.0	67.8
Oil revenue	92.9	82.1	78.0	72.3	64.7	47.7	27.7	64.2	39.6	47.5	55.1	53.1	44.0	35.8
Non-oil revenue	26.5	28.6	29.0	28.8	28.1	32.2	39.9	29.1	30.8	31.6	31.8	32.1	32.0	31.9
Direct taxes	10.3	11.5	11.3	11.3	11.8	10.8	10.8	11.4	10.8	11.0	11.1	11.2	11.3	11.4
Taxes on goods and services	9.7	10.6	10.4	10.7	10.9	13.0	13.0	10.8	13.0	13.1	13.1	13.2	13.1	12.9
International trade	5.4	5.3	6.4	5.5	5.1	7.1	6.3	5.6	6.3	6.4	6.5	6.5	6.5	6.4
Non-tax revenue	1.1	1.3	1.0	1.3	0.3	1.0	9.7	1.3	0.6	1.2	1.2	1.2	1.2	1.2
Investment income	1.1	0.0	0.7	0.3	0.0	0.3	0.3	0.3	0.3	0.2	0.2	0.2	0.1	0.1
Grants	5.1	0.9	6.0	1.2	1.0	5.3	5.3	0.7	1.0	0.8	0.7	0.8	0.7	0.7
Expenditure and net lending	100.8	116.0	118.0	91.0	110.9	98.6	87.3	83.8	89.6	84.0	81.6	76.2	74.1	67.2
Current expenditure	36.5	33.7	36.2	34.6	36.2	32.1	32.6	34.4	32.6	32.0	32.7	30.8	29.9	29.4
Wages	9.7	9.8	10.6	9.9	10.6	11.9	11.9	10.0	11.9	12.9	13.7	13.3	12.8	12.6
Other current expenditure	24.9	23.3	24.0	23.1	24.4	18.6	19.2	23.0	19.4	17.9	17.8	16.3	16.0	15.8
Goods and services	9.3	9.2	10.7	10.4	11.1	9.1	7.2	10.4	7.2	7.2	7.0	6.8	6.5	6.4
Transfers	11.9	9.4	9.9	9.4	9.9	6.6	6.5	9.4	6.8	7.6	7.9	6.7	6.7	6.7
Common charges	3.8	3.5	3.4	3.2	3.4	2.9	5.5	3.1	5.5	3.1	3.0	2.9	2.8	2.7
Local authorities	1.3	1.1	1.2	1.2	0.8	1.0	1.0	0.9	0.8	0.7	0.7	0.6	0.6	0.5
Interest	0.7	0.6	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.4
Capital expenditure	64.2	57.7	81.8	56.4	53.2	66.6	54.7	49.4	37.6	36.6	34.4	31.6	31.2	25.4
Domestically financed	37.5	38.9	60.5	43.2	41.6	47.7	35.8	40.0	24.5	26.1	25.1	26.3	25.4	19.9
Externally financed	26.8	18.7	21.3	13.2	11.7	18.9	18.9	9.4	13.0	10.4	9.3	5.3	5.8	5.5
Off-budget expenditure	0.0	24.6	0.0	0.0	21.4	0.0	0.0	0.0	19.4	15.4	14.6	13.8	13.0	12.4
Net lending	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Non-oil primary balance 1/	-68.4	-85.7	-82.6	-60.5	-81.2	-60.7	-41.7	-53.6	-57.3	-51.1	-48.6	-42.9	-40.9	-34.2
Basic primary balance 2/	46.1	14.1	10.7	23.8	-5.9	0.6	-0.3	19.3	-5.6	6.1	15.1	14.8	3.2	1.7
Of which: Basic non-oil primary balance 3/	-46.8	-68.0	-67.3	-48.5	-70.6	-47.1	-28.1	-44.8	-45.2	-41.4	-40.0	-38.3	-22.8	-16.9
Overall balance, commitment basis														
Excluding grants	19.7	-5.2	-10.4	10.4	-18.0	-18.4	-19.4	9.7	-18.8	-4.7	5.5	9.1	2.1	0.6
Including grants	24.8	-4.3	-4.4	11.6	-17.0	-13.1	-14.1	10.4	-17.9	-3.9	6.2	9.9	2.8	1.3
Change in arrears	-2.4	-6.4	-1.2	-4.4	-1.5	0.0	0.0	-3.0	-1.2	-2.1	-2.0	-0.9	-0.9	-0.9
External	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic	-2.4	-6.4	-1.2	-4.4	-1.5	0.0	0.0	-3.0	-1.2	-2.1	-2.0	-0.9	-0.9	-0.9
Overall balance, cash basis	22.4	-10.7	-5.7	7.2	-18.5	-13.1	-14.1	7.4	-19.1	-6.0	4.3	8.9	1.9	0.5
Basic non-oil primary balance, cash basis	-49.2	-74.4	-68.5	-52.9	-72.1	-47.1	-28.1	-47.8	-46.4	-43.5	-42.0	-39.3	-23.7	-17.8
Financing	-22.5	10.7	7.2	-7.2	18.5	13.1	14.1	-7.4	19.1	6.0	-4.3	-8.9	-1.9	-0.5
Foreign (net)	16.8	15.5	16.7	7.0	9.4	8.6	8.7	3.4	7.5	4.8	3.6	-1.5	-1.4	-0.4
Drawings	21.6	17.8	15.3	12.0	10.6	13.6	13.6	8.7	12.1	9.6	8.6	4.5	5.1	4.9
Amortization due	-4.8	-5.6	-5.1	-5.1	-5.9	-5.1	-4.9	-5.3	-4.6	-4.9	-5.0	-6.0	-6.5	-5.2
Rescheduling obtained	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Debt cancellation	0.0	1.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	0.0	2.1	6.5	0.0	4.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Deposits abroad 4/	0.0	2.1	0.0	0.0	4.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Loans	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic (net)	-39.3	-4.8	-9.4	-14.2	9.2	4.6	5.4	-10.8	11.6	1.2	-7.9	-7.5	-0.5	-0.1
Banking system (net)	-39.3	1.0	-9.4	-14.2	11.1	4.6	5.4	-10.8	11.6	1.2	-7.9	-7.5	-0.5	-0.1
Nonbank financing	0.0	-5.8	0.0	0.0	-2.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financing gap (- = surplus)	0.0	0.0	1.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum items:														
(Percent of GDP)														
Total revenue	48.4	46.9	51.8	46.6	42.8	47.9	41.0	44.5	40.2	40.6	38.5	39.0	38.7	37.9
Primary revenue	46.0	46.5	48.8	45.9	42.3	44.8	37.9	44.0	39.5	40.1	38.1	38.6	38.3	37.5
Oil revenue	35.8	34.5	35.6	32.8	29.5	26.8	15.5	30.3	22.2	24.1	24.1	24.0	22.2	19.8
Non oil revenue	10.2	12.0	13.2	13.1	12.8	18.0	22.3	13.7	17.3	16.0	13.9	14.5	16.1	17.7
Total expenditure	38.8	48.7	53.8	41.3	50.5	55.3	48.9	39.6	50.2	45.6	37.1	34.6	37.0	36.9
Current expenditure	14.1	14.2	16.5	15.7	16.5	18.0	18.3	16.2	18.3	16.2	14.3	13.9	15.1	16.2
Capital expenditure	24.7	24.2	37.3	25.6	24.3	37.3	30.7	23.3	21.0	18.5	15.0	14.3	15.7	14.1
Extra Budgetary Expenditure		10.3	0.0	0.0	9.7	0.0	0.0	0.0	10.9	10.9	7.8	6.4	6.2	6.6
Basic fiscal balance 5/	17.9	5.7	5.0	10.7	-2.9	0.3	-0.3	9.0	-3.3	2.9	6.5	6.5	4.0	3.4
Basic primary fiscal balance	17.7	5.9	4.9	10.8	-2.7	0.4	-0.2	9.1	-3.1	3.1	6.6	6.7	1.6	1.0
Basic non oil primary fiscal balance	-18.0	-28.5	-30.7	-22.0	-32.2	-26.4	-15.7	-21.2	-25.3	-21.0	-17.5	-17.3	-11.5	-9.4
Overall balance, cash basis	8.6	-4.5	-2.6	3.3	-8.5	-7.4	-7.9	3.5	-10.7	-3.0	1.9	4.0	1.0	0.3

Sources: Congolese authorities; and Fund staff estimates and projections.

1/ Revenue and grants (excluding investment income and oil revenue) minus total expenditures (excluding interest payments).

2/ Revenue (excluding investment income and grants) minus total expenditures (excluding interest payments and foreign-financed investment).

3/ Basic primary balance minus oil revenue.

4/ Fund staff estimates based on preliminary data.

5/ Overall budget balance, excluding grants and foreign-financed investment.

6/ Reflects the supplementary budget approved by the ministerial cabinet and awaiting formal ratification by parliament

REPUBLIC OF CONGO

Table 5. Republic of Congo: Government Cash Flow Schedule, 2013–20

	2013	2014	2015	2016	2017	2018	2019	2020
	Projections							
	(Billions of CFA francs)							
Deposits in banking system, beginning of period	1,349	1,324	982	622	583	852	1,124	1,142
Gross cash inflows	2,889	2,440	1,610	1,865	2,193	2,094	1,891	1,641
Oil receipts	2,295	1,973	1,226	1,545	1,894	1,924	1,692	1,440
Non-oil primary surplus	0	0	0	0	0	0	0	0
Domestic debt placement	0	0	0	0	0	0	0	0
External debt placement	497	324	374	313	294	164	195	196
Arrears accumulation	0	0	0	0	0	0	0	0
Deposits from abroad	59	141	0	0	0	0	0	0
Other	38	1	10	6	6	6	5	6
Gross cash outflows	2,914	2,781	1,970	1,904	1,924	1,823	1,874	1,637
Non-oil primary deficit	2,398	2,478	1,774	1,661	1,668	1,553	1,571	1,376
Interest	18	15	16	16	17	19	18	16
Domestic amortization	161	60	0	0	0	0	0	0
External amortization	157	180	142	158	170	217	250	210
Arrears payments	180	47	38	68	68	34	34	34
Deposits abroad	0	0	0	0	0	0	0	0
Other	0	2	0	0	0	0	0	0
Net cash flow 1/	-25	-342	-360	-39	270	272	18	4
Deposits in banking system, end of period	1,324	982	622	583	852	1,124	1,142	1,146
Memorandum items:	(Billions of CFA Francs, unless otherwise indicated)							
GDP	6,657	6,689	5,528	6,421	7,848	8,007	7,633	7,265
Overall balance	-120	-520	-564	-131	209	353	102	48
Overall balance, cash	-301	-567	-603	-200	140	318	68	13
Debt	2,542	2,799	3,007	3,103	3,170	3,096	2,993	2,889
Domestic 2/	411	364	326	257	189	154	120	86
External	2,131	2,435	2,682	2,845	2,981	2,942	2,873	2,803
	(Percent of GDP)							
Overall balance	-1.8	-7.8	-10.2	-2.0	2.7	4.4	1.3	0.7
Debt	38.2	41.8	54.4	48.3	40.4	38.7	39.2	39.8
Domestic 2/	6.2	5.4	5.9	4.0	2.4	1.9	1.6	1.2
External	32.0	36.4	48.5	44.3	38.0	36.7	37.6	38.6
Deposits in banking system	19.9	14.7	11.3	9.1	10.9	14.0	15.0	15.8
Total deposits 3/	29.0	28.0	29.1	24.4	23.3	26.1	27.5	28.8

Sources: Congolese authorities; and Fund staff estimates and projections.

1/ Inconsistencies with banking system flows reported in Tables 3 and 4 relate to a float.

2/ Domestic debt consists principally of the stock of arrears.

3/ Government deposits in the regional central bank and abroad.

Table 6. Republic of Congo: Monetary Survey, 2012–15

	2012	2013	2014	2015
				Proj.
Monetary survey	(Billions of CFA francs)			
Net foreign assets	3,097	3,000	2,768	2,294
Central bank	2,676	2,406	2,601	2,101
Deposit money banks	422	594	166	193
Net domestic assets	-794	-682	-145	371
Net domestic credit	-669	-542	24	541
Net credit to the public sector	-1,347	-1,332	-984	-624
Net credit to the Government	-1,349	-1,324	-982	-622
Central bank	-1,357	-1,278	-952	-591
Claims	15	12	360	400
Deposits	-1,372	-1,290	-1,312	-991
Deposit money banks	8	-46	-30	-30
Claims on public agencies, net	11	9	22	23
Credit to the economy	667	780	979	1,142
Other items, net	-125	-139	-169	-170
Broad money	2,303	2,319	2,623	2,664
Currency outside banks	565	623	667	678
Demand deposits	1,485	1,369	1,612	1,638
Time deposits	253	326	343	349
	(Changes in percent of beginning-of-period broad money)			
Net foreign assets	2.2	-4.2	-10.0	-18.1
Net domestic assets	18.9	4.9	23.2	19.6
Net domestic credit	28.6	5.5	24.4	19.7
Net credit to the government	17.4	1.1	14.7	13.7
Credit to the private sector	10.8	4.9	8.6	6.2
	(Annual percent changes, unless otherwise indicated)			
Broad money	21.1	0.7	13.1	1.6
Reserve money	16.3	-13.1	44.6	-1.8
Velocity (non-oil GDP/End of period M2)				
Non-oil GDP/End period M2	1.1	1.2	1.2	1.2
	(Percent)			
Total GDP growth	2.6	-4.6	0.5	-17
Non-oil GDP growth	17.9	13.2	9.1	1.6
Credit to the private sector/Non-oil GDP	27.0	27.9	32.1	36.8

Sources: BEAC; and Fund staff estimates and projections.

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Table 7. Republic of Congo: Banking Sector Financial Soundness Indicators, 2012–15

	2012	2013	2014	Feb-2015*
	(Percentage, end of year)			
Capital Adequacy				
Regulatory capital to risk-weighted assets	12.8	11.9	16.1	15.6
Capital to assets	6.6	8.2	4.5	4.2
Asset quality				
Nonperforming loans to total gross loans	1.5	1.2	2.5	2.8
Nonperforming loans (net of provisions) to capital	1.0	0.3	4.7	5.1
Earnings and profitability				
Return on assets	1.6	2.0	1.0	n.a.
Return on equity	27.8	28.4	23.4	n.a.
Liquidity				
Liquid assets/total assets	32.1	25.2	17.1	15.1

Sources: Authorities (COBAC) and Fund staff estimates.

*Latest available observation. Data were extracted in April 2015.

Table 8. Republic of Congo: Millennium Development Goals, 1995–2013

	1995	2000	2009	2011	2012	2013
Goal 1: Eradicate extreme poverty and hunger						
Employment to population ratio, 15+, total (%)	62.6	63.7	65.8	66.0	66.0	66.1
Employment to population ratio, ages 15–24, total (%)	40.4	40.1	40.2	40.0	39.9	39.8
Prevalence of undernourishment (% of population)	44.7	30.1	35.7	35.0	33.0	...
Goal 2: Achieve universal primary education						
Persistence to last grade of primary, total (% of cohort)	...	55.0	70.0	...	...	...
Primary completion rate, total (% of relevant age group)	...	...	69.5	76.1	73.0	...
Goal 3: Promote gender equality and empower women						
Proportion of seats held by women in national parliaments (%)	2.0	12.0	7.3	7.3	7.4	7.4
Ratio of female to male primary enrollment (%)	85.5	92.5	93.3	94.4	107.0	...
Ratio of female to male secondary enrollment (%)	75.0	70.4	...	...	86.7	...
Ratio of female to male tertiary enrollment (%)	...	31.4	21.1	58.4	62.7	...
Goal 4: Reduce child mortality						
Immunization, measles (% of children ages 12–23 months)	38.0	34.0	63.0	75.0	65.0	65.0
Mortality rate, infant (per 1,000 live births)	68.3	76.5	45.1	39.4	37.3	35.6
Mortality rate, under-5 (per 1,000)	107.0	121.0	65.7	55.7	52.0	49.1
Goal 5: Improve maternal health						
Adolescent fertility rate (births per 1,000 women ages 15–19)	132	136	129	127	127	...
Maternal mortality ratio (modeled estimate, per 100,000 live births)	650	610	580	560	...	410
Goal 6: Combat HIV/AIDS, malaria, and other diseases						
Incidence of tuberculosis (per 100,000 people)	239	356	393	383	382	382
Prevalence of HIV, female (% ages 15–24)	3.4	2.5	1.5	1.3	1.3	1.2
Prevalence of HIV, male (% ages 15–24)	1.8	1.4	0.8	0.7	0.7	0.7
Prevalence of HIV, total (% of population ages 15–49)	5.8	5.2	3.1	2.8	2.6	2.5
Tuberculosis case detection rate (all forms)	56.0	83.0	62.0	68.0	68.0	63.0
Goal 7: Ensure environmental sustainability						
CO2 emissions (kg per PPP \$ of GDP)	0.2	0.1	0.1	...	...	...
CO2 emissions (metric tons per capita)	0.6	0.3	0.5	...	...	...
Forest area (% of land area)	66.3	66.1	65.7	65.6	65.6	...
Improved sanitation facilities (% of population with access)	...	12.7	14.1	14.4	14.6	...
Improved water source (% of population with access)	...	69.2	73.8	74.8	75.3	...
Marine protected areas (% of total surface area)	0.0	32.8	32.8	...	33.5	...
Terrestrial protected areas (% of total surface area)	6.8	9.1	9.4	...	30.4	...
Goal 8: Develop a global partnership for development						
Debt service (PPG and IMF only, % of exports, excluding workers' remittances)	10.9	0.6	4.9	1.2	1.2	...
Internet users (per 100 people)	0.0	0.0	4.5	5.6	6.1	6.6
Mobile cellular subscriptions (per 100 people)	0.0	2.2	73.8	91.9	98.8	105.0
Net ODA received per capita (current US\$)	45.9	10.2	70.9	61.5	32.0	...
Telephone lines (per 100 people)	0.8	0.7	0.3	0.3	0.3	0.4
Other						
Fertility rate, total (births per woman)	5.2	5.1	5.1	5.1	5.0	...
GNI per capita, Atlas method (current US\$)	430	570	1,950	2,200	2,480	2,590
GNI, Atlas method (current US\$) (billions)	1.2	1.8	7.8	9.3	10.8	11.5
Gross capital formation (% of GDP)	36.6	22.6	22.5	25.3	26.0	30.9
Life expectancy at birth, total (years)	52.9	52.3	56.6	57.8	58.3	...
Literacy rate, adult total (% of people ages 15 and above)	...	...	...	79.3	...	...
Population, total (millions)	2.7	3.1	4.0	4.2	4.3	4.5
Trade (% of GDP)	128.0	124.0	121.0	145.0	144.0	143.0

Source: World Development Indicators database.

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Annex I. Authorities' Implementation of 2014 Policy Recommendations

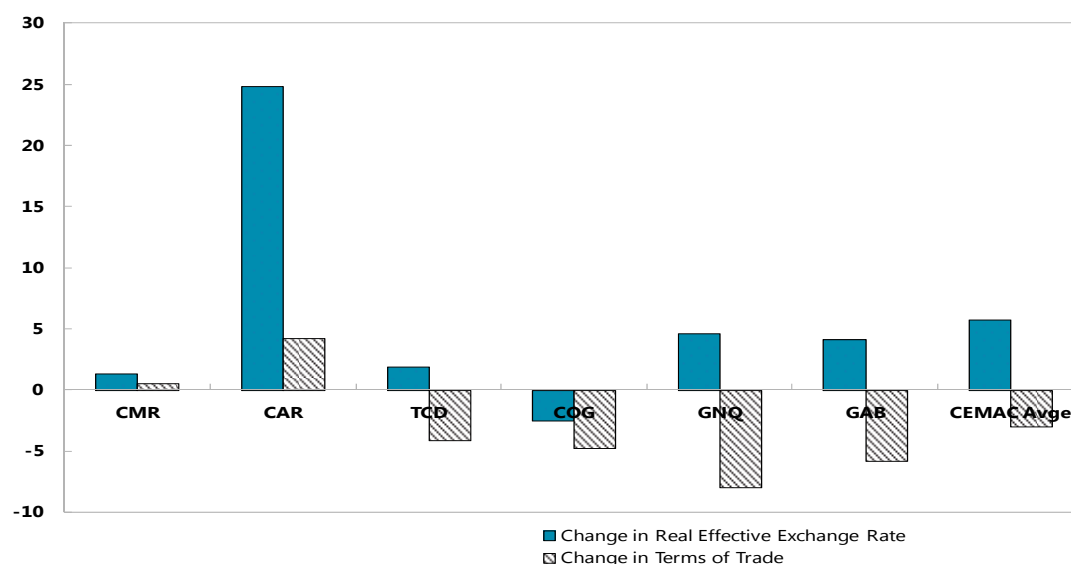
2014 Article IV Recommendations		Authorities' Implementation
Fiscal Policy Anchor	- Implement a fiscal anchor based on a reduction of the non-oil primary deficit over time in order to ensure fiscal and debt sustainability and the accumulation of sufficient wealth buffers for the post – hydrocarbon future. - Improve non-oil revenue collection	- The 2014 Supplementary budget deviated from the recommended fiscal consolidation path. The 2015 Budget and 2015 Supplementary budget have put fiscal policy on a consolidation path. However, the authorities have stopped short of adopting a fiscal anchor based on a reduction of the non-oil primary deficit over time. - The tax base for the VAT has been broadened, including the introduction of a tax on mobile telephone operators in 2015.
Public financial Management	- Bolster transparency and strengthen accountability of Public Financial Management in line with regional guidelines. - Improve budget execution and procurement / disbursement processes.	- The authorities have prepared a draft fiscal responsibility and transparency law that will implement some of the Economic and Monetary Community of Central African States (CEMAC) directives on public financial management, and would improve budget accounting, preparation, and execution. The draft law awaits ratification by the Council of Ministers. - Progress is being made in discussions with staff on making fiscal reporting more comprehensive by including financing flows from overseas government deposits and off-budget spending
Fiscal Expenditures	- Address social and economic infrastructure gaps by boosting the quality of public investment spending. - Expansion of ongoing employment and social safety net programs.	- Efficiency and quality of public expenditures remains poor, as suggested by frequent power outages and poor road conditions. Efforts to improve the selection, evaluation, and monitoring of investment projects as well as the budgeting of their operating and maintenance costs need to be strengthened. - A food security safety net has been implemented - A national institute for professional training related to implementation of social protection programs has been established. - Employment programs to develop skills to meet private sector needs continue. Infrastructure in the education sector has been upgraded. - The pilot program of targeted cash transfers was officially launched in 2014, and implementation continues.
Business Climate	- Strengthen the business climate. - Remove barriers to the effective provision of financial services to foster private sector development and inclusive growth.	- The authorities have taken steps to strengthen the business climate. Paying taxes has been made easier for companies by reducing the corporate income tax rate and abolishing the tax on the rental value of business premises and on company-owned cars. Minority investor protections have been improved by enhancing company disclosure and transparency requirements. These measures have been reflected in the 2015 World Bank 'Doing Business' survey. However, Congo's business climate remains among the most challenging in the world. - Market depth, financial intermediation and access to finance continue to lag.
Policy Coordination	- Enhance policy coordination and monitoring - Improve data strength and timeliness	- Lack of coordination between government agencies continues to hamper the efficiency and effectiveness of macroeconomic and structural reform policies. - Improving the quality and timeliness of data remains urgent.
Regional Cooperation	Observance of CEMAC obligations, especially as regards to reserves repatriation and pooling requirements.	The authorities repatriated a portion of their Chinese deposits in 2014 and in the first few months of 2015.

Annex II. External Sector Assessment

Republic of Congo's real effective exchange rate depreciated slightly in 2014. Commonly-used empirical approaches to assess the level of the exchange rate for an oil-exporting country which take into account that Congo derives around 80 percent of its export revenues from the hydrocarbon sector and also has significant investment needs, suggest that the Republic of Congo's real effective exchange rate (REER) is broadly in line with medium term fundamentals. However, competitiveness concerns remain, as Congo's business climate remains among the most challenging in the world.

1. The decline in international oil prices in 2014 was accompanied by a slight depreciation of Congo's real effective exchange rate. In Congo, the decline in the terms of trade associated with the oil price shock was accompanied by a decline in the real effective exchange rate. This contrasted with a REER appreciation in other CEMAC oil-exporting countries (Figure 1). The REER depreciated by 2.6 percent during 2014 as the nominal effective exchange rate depreciated by 3.5 percent over the same period.

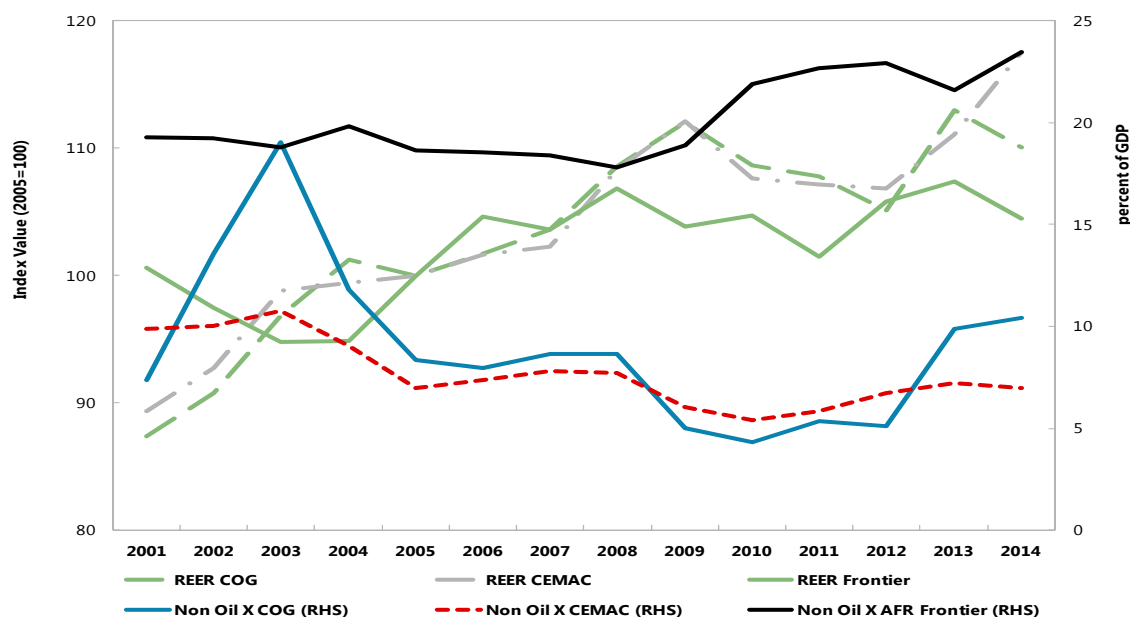
Figure 1. Terms of Trade and Exchange Rate Developments in CEMAC, 2014
(Percentage change)



Sources: IMF staff estimates.

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Figure 2. Real Effective Exchange Rate and Non – Oil Exports in CEMAC and SSA Frontier Markets
(Index value, percent of GDP)



Sources: IMF staff estimates.

2. Despite the decline in the real effective exchange rate, the performance of Congo's non-oil exports continues to be weak relative to those of SSA Frontier Markets (Figure 2).

Congo's non-oil exports lifted a little in 2014, and lie above the regional average. However, they still lie well below the SSA Frontier Market average, countries which on average experienced a similar depreciation of their exchange rate in 2014.

3. An application of the Araujo et al. (2013) methodology suggests that the exchange rate is broadly in line with medium-term fundamentals (Table 1). This approach utilizes a dynamic general equilibrium model to calculate the medium-term current account norm. It is based on an inter-temporal optimization problem that takes into account not only consumption smoothing motives, but also the optimal investment needs of a developing country such as Congo. The current account norm estimated by the model takes into account absorptive capacity constraints associated with investment, reflecting the fact that ambitious public and private investment programs in developing countries are often plagued by poor planning and poor coordination which associated to weak oversight contribute to large cost overruns. Results from this methodology suggest that the exchange rate is broadly in equilibrium under cost overrun assumptions of 15 and 30 percent. Higher cost overruns lead to relatively higher investment needs to cover for the larger inefficiencies, which in turn imply a higher current account balance norm.

Table 1: Current Account Norms and Implied REER Adjustment^{1/}

	Year: 2020	Implied Real Exchange Rate Adjustment
	Percent of GDP	CA Elasticity: 0.92
Underlying Current Account	-1.2	
CA norm (Araujo 2013, 15% cost overrun)	0.7	2
CA norm (Araujo 2013, 30% cost overrun)	1.2	3
CA Norm (Constant real annuity - Bems Carvalho Filo 2009)	3	5

Source: IMF Staff Estimates

^{1/} The percent cost overrun captures absorptive capacity constraints in the economy. Import and export elasticities are obtained from Tokarick (2010)

4. The approach of Bems and Carvalho (2009) does not take into account existing investment needs and shows a slight overvaluation of the real exchange rate of 5 percent in the medium term. This methodology abstracts from existing investment needs and calculates the path of the current account norm based on inter-temporal allocation rules for oil income flows. The implied paths for the current account are always above the projections for Congo, since the methodology does not take into account the effects of public investment on future productivity growth. Therefore, in the context of Congo's ambitious public investment program, the results of the Araujo et al. (2013) model would be more suitable for assessing potential medium-term real exchange rate misalignments.

5. While the statistical analysis does not show signs of a significant overvaluation, the stubborn poverty and continuous weak performance of exports in the non-oil economy are indicative of significant competitiveness concerns. Congo's non-oil current account deficit stood at 29.4 percent of GDP in 2014, in part reflecting considerable obstacles from a challenging competitive business environment, especially in comparison to regional and global peers (Figure 2, main text). Congo ranks 178th out of 189 countries in the World Bank's 2015 'Doing Business' ranking. Congo improved its overall 'Doing Business' ranking by 1 place compared to that of 2014, largely due to the streamlining of procedures to start businesses and improvements in protection for minority investors.

References

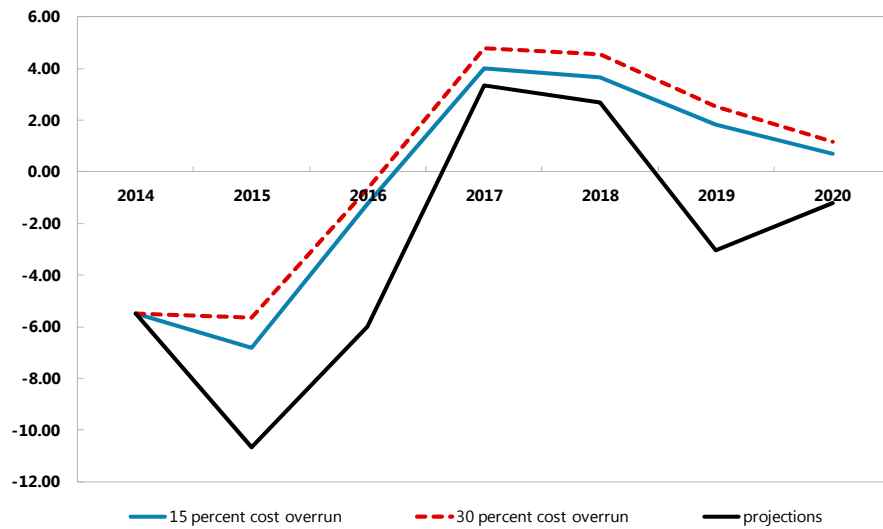
Araujo, J., B Li, M. Poplawski-Ribeiro, and L.F. Zanna, 2013, "Current Account Norms in Natural Resource Rich and Capital Scarce Economies," IMF Working Paper 13/80 (Washington, DC: International Monetary Fund).

Bems, R. and I. Carvalho, 2009, "Exchange Rate Assessments: Methodologies for Oil Exporting Countries," IMF Working Paper 09/281 (Washington, DC: International Monetary Fund).

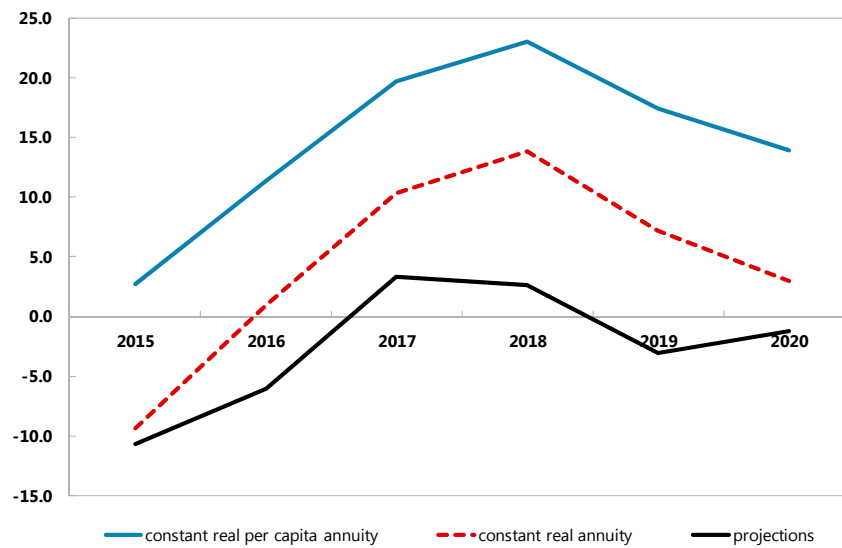
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Figure 3. Current Account Norms and Projections
(Percent of GDP)

Araujo et. al. (2013)



Bems and Carvalho Filo (2009)



Source: IMF staff estimates.

Annex III. Risk Assessment Matrix¹

Sources of Risks	Relative Likelihood	Impact if Realized	Recommended Policy Response
Global risks			
Protracted period of slower growth in key advanced economies (AEs) and emerging economies (EMs)	High for AEs and medium for EMs	High Slower growth could lead to a sustained period of lower oil prices, depressing exports and government revenues. This would make emerging cash constraints more binding and increase risk to fiscal and debt sustainability.	Reduce public expenditures while improving its quality and protecting the poor; improve non-oil tax revenue collection.
Risks to energy prices: - Increased volatility due to uncertainty about the persistence of the oil supply shock and the underlying drivers of the price decline. - Persistently low prices triggered by supply factors reversing only gradually, and weaker demand	High Medium	High Same as above. In addition, new investments in the oil sector could be held back further thereby affecting long-term oil production plans.	Same as above
Sharp growth slowdown and financial risks in China: - Insufficient progress with reforms leads to a continued buildup of vulnerabilities, which over the medium term results in a significant growth slowdown. - Sharp slowdown in 2015-16. Growth falls significantly below target, possibly due to a severe housing downturn or a shock in the shadow banking sector, and absent offsetting stimulus.	High Medium	High Same as above as a sharp growth slowdown and financial risks in China could weigh on international oil prices. FDI from China in the oil and iron ore sectors and concessional lending for development projects from China would also decline, holding back the government's diversification program and growth prospects.	Same as above
Country-specific risks			
Incoherent fiscal policy adjustment	Medium	High Insufficient prioritization of government spending, arrears accumulation, and increase of public debt resulting in risk of macroeconomic instability and social and political instability.	Strengthen the quality of government spending, including by implementing a well-targeted cash transfer program, improve fiscal transparency, prevent the build up of spending arrears, and improve the business climate and access to finance.

¹ The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline path (the scenario most likely to materialize in the view of IMF staff). The relative likelihood is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10 and 30 percent, and "high" a probability between 30 and 50 percent). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly.

Annex IV. Fiscal Sustainability—The Impact of Lower Oil Prices

The 2014 Article IV consultation recommended the adoption of the Non-Resource Primary Balance (NRPB) as the anchor for a sustainable fiscal policy for the Republic of Congo. A sustainable fiscal policy path for the Republic of Congo would imply a declining path of the Non-Resource Primary Deficit (NRPD). This would permit the authorities to undertake their ambitious investment program, aimed at diversifying the economy, while at the same time building up wealth in preparation for the exhaustion of oil reserves in the medium term. The recent decline in oil prices has however substantially affected the value of Congo's oil endowment, while government spending remained elevated. This annex derives an expenditure path that is consistent with fiscal sustainability at the current lower WEO oil price baseline. Provided that the efficiency of government investment rises substantially, this expenditure path could still be consistent with building a capital stock commensurate with that of emerging market countries. However, Congo's financial buffers in the long run would be negative.

A. Background

- 1. The 2014 Article IV consultation for the Republic of Congo recommended the adoption of the Non-Resource Primary Deficit (NRPD) as the primary anchor of fiscal policy.** In view of the relatively short remaining lifetime of Congo's oil endowment, targeting a declining path of the NRPD over time would also allow Congo to set out a more realistic timescale for its ambitious public investment program, while at the same stabilizing the country's net financial assets to prepare for the time when oil resources are exhausted.¹
- 2. In the meantime however, the price of oil has declined sharply and is likely to remain relatively low in the immediate future.** The near halving of international oil prices since October 2014 has caused fiscal oil receipts to plummet, from 82.1 percent of non-oil GDP in 2013 to an estimated 64.7 percent of non-oil GDP in 2014. This oil price decline has also affected the value of Congo's natural resource endowment into the future.
- 3. Despite the squeeze on oil revenues, government expenditures in Congo remain elevated.** The Republic of Congo faces continued spending pressures. Large capital spending commitments, for example those associated with the hosting of the All Africa Games in September 2015, are inelastic. The forthcoming 2016 presidential and 2017 legislative elections are also placing significant pressure on current spending.
- 4. This note examines the implications of the recent oil price decline for fiscal sustainability in the Republic of Congo.** Government expenditures must be put on a sustainable path, while at the same time allowing the authorities to pursue their ambitious infrastructure program aimed at diversifying the economy and preparing for the post-hydrocarbon era. These considerations must however take into account that the value of Congo's

¹ The authorities' projections imply that production will fall from a peak of about 128 million barrels in 2018 to about 12 million barrels in 2034. According to BP Statistical Review of World Energy 2014, the proven reserves to production ratio is 15.6 years.

oil resources and financial endowment has been substantially reduced by the recent oil price decline (Table 1).

Table 1. Republic of Congo: Medium-Term Fiscal Framework
(Percent of GDP, unless otherwise indicated)

	2014	2015	2020	2025	2030	2034
Revenue and Grants	42.8	40.2	37.9	35.0	32.2	30.3
of which:						
Oil revenue	29.5	22.2	19.8	11.6	3.4	1.9
Non-oil revenue	12.8	17.3	17.7	23.0	28.4	28.2
Total expenditure	50.5	50.2	37.2	34.2	30.6	28.7
Current expenditure	16.5	18.3	16.2	16.9	16.0	13.7
Capital expenditure	24.3	21.0	14.1	17.3	14.6	15.0
Domestically financed	19.0	13.7	11.0	14.1	11.8	12.3
Foreign financed	5.3	7.3	3.1	3.2	2.8	2.7
Off Budget	9.7	10.9	6.9	n.a	n.a	n.a
Financing	7.8	10.0	-0.7	-0.8	-1.6	-1.7
Of which: External borrowing	4.8	6.8	2.7	2.8	2.5	2.5
Memorandum items:						
(percent of GDP)						
Non-resource primary balance 1/	-37.0	-32.1	-18.9	-10.8	-1.9	-0.2
Net financial assets 2/	-19.6	-30.5	-23.9	-17.8	-10.9	-3.0
Wealth 3/	176.1	194.1	74.1	26.4	-0.2	-1.8
Expenditure	50.5	50.2	37.2	34.2	30.6	28.7
Public capital stock	130.2	153.5	191.6	214.6	209.6	194.0
Gross Debt	41.8	54.4	39.8	37.0	34.3	29.6
Oil price (in US\$ per barrel)	96.2	58.9	71.5	78.9	87.1	90.6
Oil production (in million of barrels)	91.4	88.3	97.7	58.0	18.4	12.5
Non-oil GDP (billion CFAF)	3050	3098	4020	5745	8253	10815
GDP (billion CFAF)	6689	5528	7265	7745	8986	11334

Source: IMF staff calculations.

1/ Defined as revenue and grants, excluding oil revenue and investment income, minus total expenditure (excluding interest payments).

2/ Correspond to the difference between (i) deposits of the government at the BEAC and overseas and (ii) domestic and foreign debt.

3/ Corresponds to the total of net financial assets and present value of future government oil revenue.

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B. The Impact of Lower Oil Prices

5. The recent decline in oil prices has substantially affected Congo's near term oil receipts (Figure 1). Plummeting oil prices have led to a commensurate decline in projected government oil receipts over 2015–2016. As a percentage of GDP, projected oil receipts in the medium term are currently lower than in the 2014 Article IV consultation, with the exception of the period 2018–2020. Production forecasts for this period have in the meantime been revised upwards significantly, due to the coming on stream of a major new oil field.

6. The decline in oil receipts is a major factor behind the lower level of total wealth and net financial assets over the forecast horizon. Due largely to the oil shock, Congo starts with an initial lower value of wealth. The decline in oil receipts, combined with the rapid accumulation of external debt over recent years, and large fiscal deficits in 2013 and 2014 also implies that Congo finds itself initially in a net liability position.

7. Total wealth is drawn down rapidly over time. Total financial wealth is composed of the net financial asset position,¹ plus natural resource wealth in each year. Natural resource wealth is defined as the discounted sum of the stream of future oil revenues.² Hence Congo's wealth position is not only affected by the shock to oil revenues, but it is also drawn down rapidly in order to finance an elevated level of expenditures.

8. As a result, Congo is unable to build up wealth buffers in the long run. Congo begins as a net debtor (negative net financial assets), as the elevated levels of debt exceed assets. Wealth is drawn down over time, associated with continued high government spending and lower future oil revenues. Even as the non-oil primary deficit reduces over time, the legacy of high government expenditures is projected to leave Congo as a long run net debtor, with a net financial asset position in the order of –20.3 percent of GDP in 2034. As future oil revenues dissipate, long run total wealth will be negative.

9. As a result of elevated expenditures and the drawdown in wealth, Congo is projected to build up a public capital stock well above that of the middle income country average.³ Assuming a high efficiency of public infrastructure investment expenditures, the fiscal

¹The initial net financial asset position at end 2014 is defined as the difference between government deposits at the BEAC and abroad and external and domestic debt. Thereafter, the net financial asset position grows by the factor $(1+r/(1+g))$, where g is the nominal growth rate of non-oil GDP and r is the interest rate. This is known as the 'automatic dynamics' of the net financial asset position. The interest rate is fixed at 6.5 percent, while growth varies endogenously according to the macro framework. For 2015 onwards, net financial assets is then the sum of these 'automatic dynamics', plus present year oil revenues, and the non-oil primary balance.

² Future oil revenues are discounted by product of the factor $(1+g)/r$. For example, to discount 2018 oil revenues back to end 2014, multiply oil revenues in 2018 by the product of $(1+g)/r$ for 2015–18.

³ The public capital stock is calculated using the methodology followed by the literature, e.g. Gupta et al. (2014) and Kamps (2006), as follows. The public capital stock is constructed using the perpetual inventory equation, $K_t = (1 - \delta_t)K_{t-1} + \left(1 - \frac{\delta_t}{2}\right)I_{t-1} * q$, where K_t is the stock of public capital at time t ; δ_t is a time-varying depreciation rate; I_{t-1} is public investment spending at time $t-1$, assuming that new investment is operational in the middle of the period; and q is a time invariant efficiency adjustor. The calculation of the unadjusted public capital stock (which corresponds to a 'high efficiency' of public investment) assumes that this term is equal to 1.

(continued)

consolidation path permits the accumulation of an unadjusted capital stock in the order of 194 percent of GDP in 2034. This level lies well above the average for middle income countries⁴. The elevated level of the public capital stock comes at the cost of completely eroding Congo's financial buffers, with no wealth reserves left for future generations.

10. Potential inefficiencies in the public investment process and weak public financial management processes would imply a lower effective level of the public capital stock.

The gap between the two estimated capital stocks under different assumptions on investment efficiency highlights the need for Congo to improve their PFM systems, in order to improve the quality of investment expenditures, maximize their return on public investment and the level of the public capital stock.

11. The decline in natural resource wealth makes it urgent to address both the level and quality of public expenditures. To prevent the rapid drawdown of total financial wealth and the complete erosion of future financial wealth, Congo needs to address the level of public expenditures as a matter of priority. For example, non priority expenditures and expenditures on investment projects with limited value-added in terms of economic development could be cancelled. Furthermore, maximizing the quality of expenditures would help boost the long run level of the capital stock. Swift implementation of reforms to public financial management practices and the enhancement of investment project selection methods are essential for boosting the quality of public investment spending and maximizing the level of Congo's long-run public capital stock.

12. Preliminary analysis using a 'balance sheet' approach to public sector assets and liabilities highlights importance of increasing the quality of public expenditures in the medium term. The bulk of Congo's net worth is composed of the proven value of oil reserves. A high level of public investment quality would be important to maximize the level of the public capital stock and hence increase growth. This would help shield the public sector balance sheet from downside risks to the oil price outlook, as well as the projected decline in the value of proven oil reserves at present that is implied by current resource extraction rates.⁵

The calculation of the 'efficiency adjusted' capital stock assumes that this term is equal to 0.5 (which corresponds to a 'low efficiency' of public investment). The latter calculation takes into account that public investment is unlikely to translate fully into productive capital assets under weak institutional frameworks. Data on public investment and GDP are expressed in constant 2005 prices using investment and GDP deflators respectively.

⁴ This elevated projected level of the public capital stock is a preliminary analysis and warrants further investigation.

⁵ Proven oil reserves are calculated as the sum of the value of future oil production implied by the authorities' production projections. To derive the value of oil output in any given year, the projected production is multiplied by the Congolese oil export price and converted into CFA Francs.

REPUBLIC OF CONGO

Figure 1. Republic of Congo: Fiscal Sustainability

Figure 1a. Republic of Congo - Government Oil Revenues (percent of GDP)

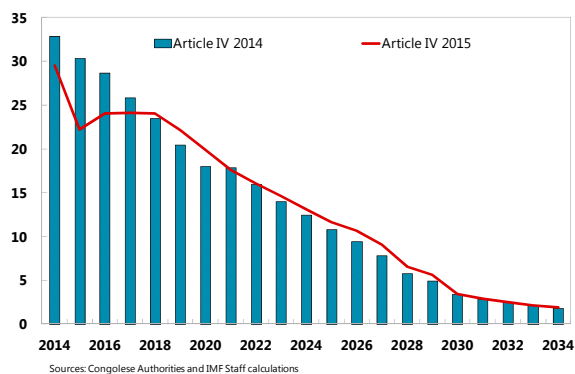


Figure 1b. Republic of Congo - Total Wealth (percent of GDP)

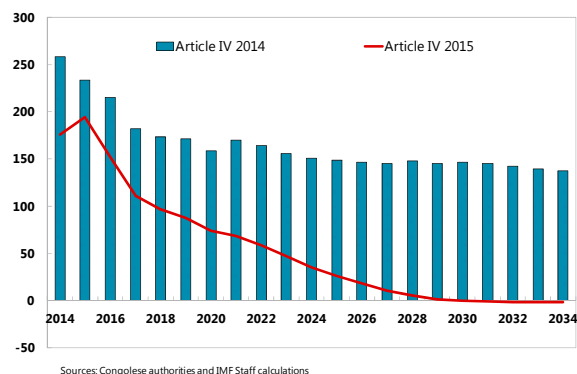


Figure 1c. Republic of Congo - NRPB, Financial Assets and Wealth (percent of GDP)

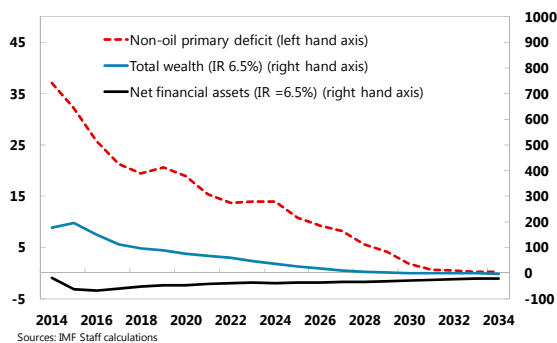
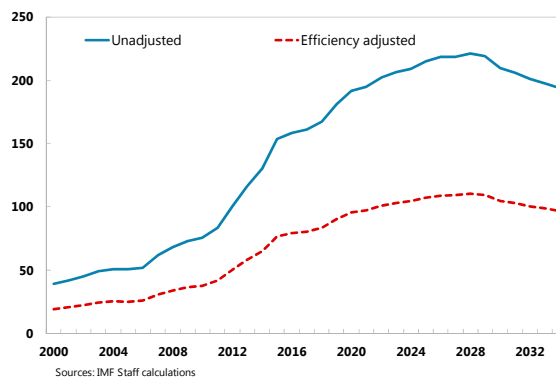


Figure 1d. Republic of Congo - Long Run Capital Stock (percent of GDP)



Source: IMF Staff estimates.

Table 2. Republic of Congo: Preliminary Government Balance Sheet

	2013	2014	2015	2016	2017	2018	2019	2020
	Projections							
	(CFA francs, billions)							
Assets	60,740	57,274	54,015	52,174	50,060	46,284	42,545	39,073
Domestic deposits	1,324	981	621	582	851	1,123	1,141	1,145
Foreign deposits	642	562	562	562	562	562	562	562
Oil reserves	50,646	46,644	43,970	40,485	35,630	30,808	26,642	23,072
Public capital stock	7,749	8,708	8,483	10,167	12,639	13,413	13,822	13,915
Loans	379	379	379	379	379	379	379	379
Liabilities	2,542	2,799	3,007	3,103	3,170	3,096	2,993	2,889
Domestic debt /1	411	364	326	257	189	154	120	86
External debt	2,131	2,435	2,682	2,845	2,981	2,942	2,873	2,803
Net worth /2	58,199	54,475	51,007	49,072	46,890	43,188	39,552	36,184
Net worth excluding oil reserves	7,552	7,831	7,037	8,587	11,261	12,380	12,910	13,111
Wealth /3	n.a.	11,780	10,733	9,764	8,731	7,734	6,684	5,381
	(percent of GDP)							
Assets	912	856	977	813	638	578	557	538
Liabilities	38	42	54	48	40	39	39	40
Net Worth	874	814	923	764	597	539	518	498
Net worth excluding oil reserves	113	117	127	134	143	155	169	180
Wealth /3	n.a.	176	194	152	111	97	88	74
Memorandum items:								
GDP	6,657	6,689	5,528	6,421	7,848	8,007	7,633	7,265

Sources: Data provided by the authorities; and IMF staff calculations.

/1 Domestic debt consists principally of the stock of arrears.

/2 Net worth is defined as total assets (the sum of domestic and foreign deposits, oil reserves, the public capital stock and bilateral loans) minus total liabilities (the sum of domestic and external debt)

/3 Wealth is defined as the sum of net financial assets and the present discounted value of future oil receipts. In 2014, net financial assets corresponds to the difference between government deposits at the BEAC and abroad and external and domestic debt. See footnote one of the text for further details.

References

Gupta, S., A. Kangur. C. Papageorgiou and A. Wane, 2011, "Efficiency Adjusted Capital and Growth," IMF Working Paper 11/217 (Washington, DC: International Monetary Fund).

Kamps, C., 2006, "New Estimates of Government Net Capital Stocks for 22 OECD countries, 1960–2001," *IMF Staff Papers*, Vol. 53 No. 1, pp. 120–150.

REPUBLIC OF CONGO



INTERNATIONAL MONETARY FUND



Appendix I. Draft Press Release

Press Release No. 15/xx
FOR IMMEDIATE RELEASE
[July 17, 2015]

International Monetary Fund
700 19th Street, NW
Washington, D. C. 20431 USA

IMF Executive Board Concludes 2015 Article IV Consultation with the Republic of Congo

On July 17, 2015, the Executive Board of the International Monetary Fund (IMF) concluded the Article IV consultation with the Republic of Congo on a lapse-of-time basis, and considered and endorsed the staff appraisal without a meeting.^{1 2}

Growth was strong and inflation moderated in 2014 but the Republic of Congo has been hit hard by the oil price shock. Growth rose to 6.8 percent in 2014, driven by a rebound in oil production. Inflation eased to 0.5 percent at end-2014 (y/y), driven mainly by lower global food prices. The fiscal deficit amounted to 8.5 percent of GDP in 2014, a near doubling from 2013, owing mostly to increased spending and the lower oil revenues. The fiscal deficit was mainly financed by borrowing from the regional central bank and by drawing on government deposits held abroad. The current account deficit widened by one percent of GDP to 5½ percent of GDP in 2014. However, official reserves held at the BEAC increased by CFAF 189 billion to CFAF 2,698 billion at end-2014, owing to the repatriation of commercial banks' deposits and government deposits held abroad. As a consequence, the Republic of Congo's international reserves and government deposits at the regional central bank remain at about 9½ months of prospective imports and 20 percent of GDP, respectively, both the highest among members of the Central African Economic and Monetary Community (CEMAC). Public debt now amounts to about 36½ percent of GDP, up from 32 percent of GDP in 2013 and from 20 percent of GDP in 2010, following the HIPC Completion Point. The authorities are taking corrective fiscal measures by reining in investment expenditure in a supplementary 2015 budget.

Robust growth in recent years has not resulted in a broad-based improvement in living standards. Growth averaged 5 percent over the last 5 years as government spending was ramped up, financed mostly by rising oil

¹ Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board.

² The lapse-of-time procedure is proposed for article IV consultations where the following conditions apply: (i) there are no acute or significant risks, or general policy issues requiring Board discussion; (ii) policies or circumstances are unlikely to have significant regional or global impact; (iii) in the event a parallel program review is being completed, it is also being completed on a lapse-of-time basis; and (iv) the use of Fund resources is not under discussion or anticipated.

revenues. This translated into increased activity in the agriculture, industry and services sectors. Nevertheless, the Republic of Congo continues to suffer from high rates of poverty and inequality, large infrastructure gaps, and important development challenges.

The near- and medium-term outlook will be shaped by developments in the oil sector and the path and quality of fiscal adjustment. Oil production is expected to decline in 2015 mainly due to the delay in the coming on stream of a new oil field. GDP growth in 2015 is projected at 1 percent and to average about 3 percent per annum during 2015–20. The lower international oil price is projected to lead to deterioration in the current account and continued pressure on the budget. Over the period to 2018, the expected increase in oil production from the coming on stream of new oil fields should improve fiscal and external balances. From 2018, this trend is likely to reverse as oil production declines. Non-oil growth is projected to slow to about 3 percent in 2015–16, as public investment spending contracts and mining projects are delayed due to the uncertain global outlook for iron ore. Inflation is projected at 2½ percent over the medium term, underpinned by the pegged exchange rate regime. Risks to the outlook relate to oil price volatility, persistently low oil prices, accumulation of domestic payment arrears, and domestic instability.

Executive Board Assessment

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REPUBLIC OF CONGO

Republic of Congo: Selected Economic and Financial Indicators, 2013–16				
	2013	2014	2015	2016
		Est.	Proj.	
(Annual percentage change)				
Production and prices				
GDP at constant prices	3.3	6.8	1.0	6.5
Oil	-10.2	3.4	-3.4	18.2
Non-oil	8.1	7.9	2.3	3.4
GDP at current prices	-4.6	0.5	-17.3	16.1
Consumer prices (period average)	4.6	0.9	0.9	1.7
Consumer prices (end of period)	2.1	0.5	1.8	2.1
(Percent of GDP)				
Current account balance	-4.5	-5.5	-10.7	-6.0
External public debt (end of period)	32.0	36.4	48.5	44.3
(Percent of non-oil GDP)				
Central government finances				
Total revenue	111.7	93.9	71.7	80.1
Oil revenue	82.1	64.7	39.6	47.5
Nonoil revenue (inc. grants and investment income)	29.6	29.2	32.1	32.6
Total expenditure	116.0	110.9	89.6	84.0
Current	33.7	36.2	32.6	32.0
Capital (and net lending)	57.7	53.2	37.6	36.6
Off-Budget	24.6	21.4	19.4	15.4
Overall balance (deficit -, commitment basis) ^{1/}	-4.3	-17.0	-17.9	-3.9
Basic primary fiscal balance (deficit -) ^{2/}	14.1	-5.9	-5.6	6.1
of which Basic non-oil primary balance (- = deficit)	-68.0	-70.6	-45.2	-41.4
(Percent of total government revenue excluding grants)				
External public debt service (after debt relief) ^{3/}	5.2	6.6	7.4	6.9
External public debt (after debt relief) ³	68.8	86.0	122.4	110.3
(Billions of CFA francs, unless otherwise indicated)				
Nominal GDP	6,657	6,689	5,528	6,421
Nominal non-oil GDP	2,796	3,050	3,098	3,253
World oil price (U.S. dollars per barrel)	104	96	59	64
Oil production (Millions of barrels)	88	91	88	104
Nominal Exchange rate (CFA/USD, period average)	494	494	...	...

Sources: Congolese authorities and Fund staff estimates and projections.
^{1/} Including grants.
^{2/} Revenue (excluding investment income and grants) minus total expenditure (excluding interest payments and foreign-financed investment).
^{3/} HIPC completion point reached in January 2010. In March 2010, the Paris Club granted 100 percent debt relief.